

# Department of Defense Revolving Funds

## Justification/Overview

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By kempr on Jun 24, 2025

Department of Defense  
OFFICE OF PREPUBLICATION AND SECURITY REVIEW



## Fiscal Year (FY) 2026 Budget Estimates

June 2025

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**Washington Headquarters Services  
Pentagon Reservation Maintenance Revolving Fund**



**Fiscal Year (FY) 2026 Budget Estimates  
June 2025**

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WASHINGTON HEADQUARTERS SERVICES  
Pentagon Reservation Maintenance Revolving Fund  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

| Summary of Budget Activity                                  |            |            |            |
|-------------------------------------------------------------|------------|------------|------------|
| \$ in Thousands                                             |            |            |            |
| Pentagon Reservation Maintenance Revolving Fund             | FY 2024    | FY 2025    | FY 2026    |
| <b>Total Contract Authority (Includes CIP)</b>              | \$ -       | \$ -       | \$ -       |
| Operating Contract Authority                                | \$ -       | \$ -       | \$ -       |
| Capital Investment Program                                  | \$ -       | \$ -       | \$ -       |
|                                                             |            |            |            |
| <b>Total Spending Authority from Offsetting Collections</b> | \$ 865,445 | \$ 864,748 | \$ 791,333 |
| Real Property Operations                                    | \$ 566,655 | \$ 552,962 | \$ 495,563 |
| Pentagon Force Protection Agency                            | \$ 298,790 | \$ 311,786 | \$ 295,770 |
|                                                             |            |            |            |
| <b>Direct Appropriations</b>                                | \$ -       | \$ -       | \$ -       |
|                                                             |            |            |            |
| <b>Total Budget Authority</b>                               | \$ 865,445 | \$ 864,748 | \$ 791,333 |
| Real Property Operations                                    | \$ 566,655 | \$ 552,962 | \$ 495,563 |
| Pentagon Force Protection Agency                            | \$ 298,790 | \$ 311,786 | \$ 295,770 |

Table 1.

| President's Budget 2026 Summary                 |         |         |         |
|-------------------------------------------------|---------|---------|---------|
| Pentagon Reservation Maintenance Revolving Fund | FY 2024 | FY 2025 | FY 2026 |
| <b>Civilian Full Time Equivalents</b>           | 1,626   | 1,896   | 1,897   |
| Real Property Operations                        | 674     | 735     | 736     |
| Pentagon Force Protection Agency                | 952     | 1,161   | 1,161   |

Table 2.

WASHINGTON HEADQUARTERS SERVICES  
Pentagon Reservation Maintenance Revolving Fund  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

| <b>President's Budget 2026 Summary</b>                 |                |                |                |
|--------------------------------------------------------|----------------|----------------|----------------|
| \$ in Thousands                                        |                |                |                |
| <b>Pentagon Reservation Maintenance Revolving Fund</b> | <b>FY 2024</b> | <b>FY 2025</b> | <b>FY 2026</b> |
| <b>Total Revenue</b>                                   | \$ 819,445     | \$ 834,645     | \$ 775,970     |
| Real Property Operations                               | \$ 521,176     | \$ 528,880     | \$ 485,563     |
| Pentagon Force Protection Agency                       | \$ 298,269     | \$ 305,765     | \$ 290,407     |
| <b>Total Expenses</b>                                  | \$ 865,445     | \$ 864,748     | \$ 791,333     |
| Real Property Operations                               | \$ 566,655     | \$ 552,962     | \$ 495,563     |
| Pentagon Force Protection Agency                       | \$ 298,790     | \$ 311,786     | \$ 295,770     |
| <b>Total Net Operating Result Adjustments</b>          | \$ 30,103      | \$ -           | \$ -           |
| Real Property Operations                               | \$ 30,103      | \$ -           | \$ -           |
| Pentagon Force Protection Agency                       | \$ -           | \$ -           | \$ -           |
| <b>Total Accumulated Operating Result (AOR)</b>        | \$ 45,466      | \$ 15,363      | \$ -           |
| Real Property Operations                               | \$ 45,987      | \$ 21,905      | \$ 11,905      |
| Pentagon Force Protection Agency                       | \$ (521)       | \$ (6,542)     | \$ (11,905)    |
| <b>Total Capital Investment Projects</b>               | \$ 25,721      | \$ 66,832      | \$ 56,936      |
| Real Property Operations                               | \$ 19,670      | \$ 59,853      | \$ 50,701      |
| Pentagon Force Protection Agency                       | \$ 6,051       | \$ 6,979       | \$ 6,235       |
| <b>Total Direct Appropriations</b>                     | \$ -           | \$ -           | \$ -           |
| Real Property Operations                               | \$ -           | \$ -           | \$ -           |
| Pentagon Force Protection Agency                       | \$ -           | \$ -           | \$ -           |
| <b>Total Collections</b>                               | \$ 804,997     | \$ 834,624     | \$ 775,970     |
| Real Property Operations                               | \$ 804,997     | \$ 834,624     | \$ 775,970     |
| Pentagon Force Protection Agency                       | \$ -           | \$ -           | \$ -           |
| <b>Total Disbursements</b>                             | \$ 741,778     | \$ 853,261     | \$ 824,868     |
| Real Property Operations                               | \$ 741,778     | \$ 548,619     | \$ 525,139     |
| Pentagon Force Protection Agency                       | \$ -           | \$ 304,642     | \$ 299,729     |
| <b>Total End of Period Cash Balance</b>                | \$ 668,798     | \$ 650,160     | \$ 601,262     |
| <b>Total Cash Lower Operating Limit</b>                | \$ 392,446     | \$ 425,380     | \$ 428,900     |
| <b>Total Cash Upper Operating Limit</b>                | \$ 639,705     | \$ 709,801     | \$ 703,856     |

WASHINGTON HEADQUARTERS SERVICES  
Pentagon Reservation Maintenance Revolving Fund  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

Table 3.

**Overview**

The Pentagon Reservation Maintenance Revolving Fund (PRMRF), established under Section 2674 of Title 10, United States Code (10 U.S.C. §2674), finances the maintenance, sustainment, protection, repair, and renovation of the Pentagon Reservation. The “Pentagon Reservation” refers to the 240 acres of land located in Northern Virginia and Maryland, on which stands the Pentagon Building and the Pentagon Heating and Refrigeration Plant, the Mark Center (MC) Campus, the Raven Rock Mountain Complex (RRMC), and other related facilities including parking areas. The Pentagon Reservation requires 24/7/365 readiness to enable the Department of Defense (DoD) and National Leadership to execute their mission responsibilities as well as to provide safe, secure, healthy, resilient, energy efficient and operationally effective working environments for the DoD workforce. The PRMRF is managed by the Washington Headquarters Services (WHS) and finances select activities of the WHS and the Pentagon Force Protection Agency (PFPA) within the Pentagon Reservation.

The PRMRF provides space, building services, relocation capabilities, and force protection for DoD Components, including Military Departments and other activities within on the Pentagon Reservation. The WHS collects revenue from the tenants of the Pentagon Reservation for occupied office space to provide for standard building and security services. The DoD tenants who request above standard services pay an additional amount for those services. The PRMRF improves DoD oversight of Pentagon Reservation buildings and enables the DoD to manage the Pentagon Reservation effectively and efficiently without the need for third party commercial real estate vendors.

**Activity Group Composition**

**Real Property Operations:**

Facility upkeep within the Pentagon Reservation is necessary at levels adequate to support the assigned mission and to prevent deterioration and damage to facilities, systems, and operating equipment, and to maintain a world-class headquarters for the Department of Defense. In pursuit of this requirement, the WHS Facilities Services Directorate (FSD), through the PRMRF, provides: facility management services to include space allocation; maintenance, custodial services, repair, alterations, operations and repair of mechanical and utility systems; landscaping, roads, and grounds maintenance; design and construction; property and real-estate management; permits and compliance with fire, occupational health and safety, environmental sustainability, and energy resiliency at national standards.

The PRMRF provides for the operation and utilization of the Pentagon Heating and Refrigeration Plant as well as, the classified waste incinerator.

The RRMC is the facility for the DoD Continuity of Operations Plan (COOP) for the Office of the Secretary of Defense, the Joint Staff, and Senior DoD Leadership. The RRMC supports COOP operational readiness by providing a safe and secure environment for DoD essential functions.

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Pentagon Reservation Maintenance Revolving Fund  
Fiscal Year (FY) 2026 Budget Estimates  
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The PRMRF further funds financial management, acquisition, and human resource services for the Pentagon Reservation and the PFPA.

**Pentagon Force Protection Agency (PFPA):**

The PFPA is responsible for providing law enforcement, force protection, security, counterintelligence, antiterrorism, mission assurance, and chemical, biological, radiological, and nuclear protection to the people, facilities, infrastructure, and other resources at the Pentagon Reservation. The PFPA provides these services to DoD activities within the National Capital Region (NCR) and to the RRMCC. The PFPA is the lead agency for coordination with DoD components, executive departments, agencies, and state and local authorities involving force protection, security, and law enforcement for the Pentagon Reservation and DoD facilities within the NCR.

The following table summarizes PRMRF actual and estimated obligations by activity group.

| Budget Sub-Activity              | Dollars in Millions |             |              |             |              |              |             |              |
|----------------------------------|---------------------|-------------|--------------|-------------|--------------|--------------|-------------|--------------|
|                                  | FY 2024             |             | FY 2025      |             |              | FY 2026      |             |              |
|                                  | Operating           | Capital     | Operating    | Capital     | % Change     | Operating    | Capital     | % Change     |
| Real Property Operations         | 547.0               | 19.7        | 493.1        | 59.9        | -2.5%        | 444.9        | 50.7        | -11.6%       |
| Pentagon Force Protection Agency | 292.7               | 6.1         | 304.8        | 7.0         | 4.2%         | 289.5        | 6.2         | -5.4%        |
| <b>Total by Category</b>         | <b>839.7</b>        | <b>25.7</b> | <b>797.9</b> | <b>66.9</b> | <b>-0.1%</b> | <b>734.4</b> | <b>56.9</b> | <b>-8.5%</b> |
| <b>Total PRMRF</b>               | <b>865.4</b>        |             | <b>864.8</b> |             | <b>-0.1%</b> | <b>791.3</b> |             | <b>-8.5%</b> |

Table 4.

Tenant rates are set to recover both operating and capital investment costs budgeted for each year. The FY 2026 request reflects a decrease to the standard rates of -8.5% from FY 2025 rates.

**Operating Budget**

The operating budget includes annual inflationary adjustments for supplies, equipment, service contracts, and personnel. It also provides for a safe and secure environment including, effective, proactive force protection and anti-terrorism programs for Pentagon Reservation personnel, assets and facilities.

In PB 2026 large efficiency initiatives were undertaken to decrease the operating requirements of the fund. These initiatives include, but are not limited to, elimination of the pentagon library and its digital resources, reducing shuttle bus hours, elimination of unnecessary subscriptions, service contract reductions, building operation and maintenance project rephasing, and descoping security missions and contract security officers.

**Capital Budget**

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The capital budget includes security improvements and Facilities Related Control Systems (FRCS) upgrades at the Pentagon, FRCS upgrades at the Mark Center, Facility Sustainment Restoration and Modernization projects to include fire prevention and emergency response capabilities, and new fire-fighting apparatus at the RRM. The capital budget also includes security infrastructure modernization and access control upgrades to meet Homeland Security Presidential Directive 12 (HSPD-12) requirements for the PFPA security operations.

Like the operating budget, in PB 2026 efficiency initiatives were undertaken to decrease the capital requirements of the fund in as well. These initiatives include, but are not limited to, project rephasing for infrastructure upgrades at the Pentagon and Mark Center and deferment of PFPA equipment purchases.

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**PRMRF-Wide Consolidated Services**

The below chart illustrates an overview of some of the standard services provided by the PRMRF to building tenants within the Pentagon Reservation compared to those provided by more common types of commercial building vendors.

| Service                                                 | Commercial(Typical) | Commercial(Full-Service) | PRMRF |
|---------------------------------------------------------|---------------------|--------------------------|-------|
| Work & Common Space Service                             | ✓                   | ✓                        | ✓     |
| Tax & Insurance                                         | ✓                   | ✓                        | n/a   |
| Utilities (Water, Electric, Gas, etc.)                  | ✗                   | ✓                        | ✓     |
| Mission Critical Utilities/Back up systems              | ✗                   | ✗                        | ✓     |
| Repair and Maintenance                                  | ✗                   | ✓                        | ✓     |
| Janitorial / Custodial Service                          | ✗                   | ✓                        | ✓     |
| Shuttle Bus / Fitness Center / Parking / Fleet Vehicle  | ✗                   | ✗                        | ✓     |
| 24/7 Security / Law Enforcement (3-4 min response)      | ✗                   | ✗                        | ✓     |
| Threat Reduction / CBRN / COOP / Fire Protection        | ✗                   | ✗                        | ✓     |
| Furnitures / Move Coordination / Facility Alteration    | ✗                   | ✗                        | ✓     |
| Emergency Management / Special Events Support           | ✗                   | ✗                        | ✓     |
| Physical Security / Counter UAS / Secure Comm           | ✗                   | ✗                        | ✓     |
| HAZMAT / Bioagent Detection / Insider Threat            | ✗                   | ✗                        | ✓     |
| Classified Waste Disposal / Counterintelligence Support | ✗                   | ✗                        | ✓     |
| Conference Center / Guest Parking                       | ✗                   | ✗                        | ✓     |
| Logistical operations/Defense Postal operations         | ✗                   | ✗                        | ✓     |
| Energy & Environ' Program / Arch' & Engn' Service       | ✗                   | ✗                        | ✓     |

Table 5.

**Initiatives**

The WHS and the PFFA continually pursue opportunities to improve business practices and efficiencies and minimize costs to customers and to streamline services. Examples of recent initiatives are:

- Reevaluating contract support requirements and the use of insourcing when cost effective
- Reduced personnel costs by workforce reshaping
- Identification and reduction of services that are no longer cost effective
- Inclusion of overtime heating ventilation and air conditioning in basic Pentagon Rents

**Ongoing Programs**

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Over the past several years, WHS responsibilities increased for a number of services previously provided to tenants of the Pentagon by the Military Departments, including the below listed activities. Personnel transfers to WHS were executed in accordance with signed Memoranda of Agreement. Funding for these operations was transferred from the Military Departments to the tenants of the Pentagon at the time of each transition and is now included in annual Pentagon Rent bills. This includes:

- Operation of the Pentagon Library
- Operation of the Pentagon Post Office and consolidation of all Pentagon mail rooms
- Operation of the Pentagon Athletic Centers
- Operation of the Pentagon Motor Pool program
- Financial responsibility for safety requirements for operation of the Pentagon Helipad

The WHS continuously conducts architectural and engineering studies to address infrastructure deterioration at the Pentagon and Mark Center, which result from normal aging and use. To maintain the integrity of these properties, periodic funding infusions are necessary for capital repairs in a manner consistent with the Pentagon Reservation Master Plan. The WHS FSD is responsible for Pentagon Reservation master planning and execution with goals to ensure readiness; improve security, safety, and quality of life for employees and visitors; and enhancing sustainability and energy resiliency.

**Cash Management**

The operation of the fund consumes cash with disbursements and replenishes cash with collections from building tenants for rent orders. The FY 2026 cash plan includes all expected collections and disbursements from the operation of both the Real Property and Security activity groups. Chart 1 displays collections and disbursements from the PRMRF operations. The WHS forecasts slight decreases to both collections and disbursements in FY 2026 compared to FY 2025 as rent orders are expected to fall for reservation tenants due to project deferments and efficiencies within the fund reducing its operating requirement.

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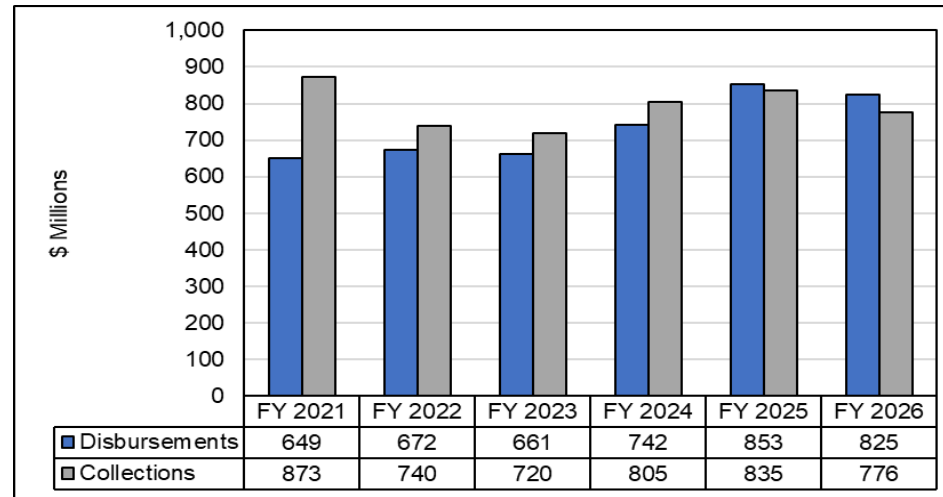


Chart 1.

The cash management plan includes an upper and lower operational cash threshold for the entire fund. The PRMRF cash requirement is established using a process based on four primary elements: 1) disbursement rate; 2) operation range; 3) risk mitigation; and 4) cash reserves.

- **Rate of Disbursement:** Anticipated disbursements during the budget year were calculated by applying historical disbursement rates for the base year of FY 2024 plus five previous years, which typically disburse during the budgeted year (e.g., in FY 2024, PRMRF anticipates disbursing funds that were obligated in FY 2019 – FY 2024). The total of that anticipated annual disbursement amount is divided by the 12 monthly collection cycles to obtain an estimated monthly rate of disbursement.
- **Range of Operation:** The lower level of the operational range for cash for FY 2026 is determined by adding the amount needed to fund reserves with the amount needed for risk mitigation. The upper estimated limit of the operational range is the lower limit plus four months of anticipated disbursements. The lower level was adjusted to accommodate for the significant increase in rents in FY 2024, which will not start disbursing until the 3rd or 4th quarter of the FY.
- **Risk Mitigation:** The primary risk experienced by the PRMRF is related to delays in receiving orders at the start of the fiscal year. Normal start up delays for our customers to receive appropriations and issue funded orders have been exacerbated by the new normal of experiencing continuing resolutions every year. Monthly disbursements are primarily for payroll and contract related costs and are consistent from month to month. No separate amount was set aside in the FY 2026 budget exhibit for risk mitigation. However, provisions have been made in the range calculation to allow for the impact of several months of catch-up rent collections being received in a single month when delayed orders are received and processed.

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- Reserves: Enough cash should be available to fund confirmed unpaid obligations, which are funded through rent. Rent from prior years are also collected and available to fund obligations, so a reserve was identified for these unliquidated obligations from prior year orders, unobligated balances carried forward in to the budget year, as well as unfunded leave liability.

Chart 2 (below) shows the projected monthly cash balances for FY 2025 and FY 2026. This chart displays how the cash from operations affect the PRMRF's 2026 Budget Estimates cash balance and where the projected ending balance for each month falls within the upper and lower operating ranges. The lower operational cash requirement is calculated by adding risk mitigation and reserves for the given fiscal year. The upper operating requirement is calculated by adding the average rate of disbursement to the lower operating requirement.

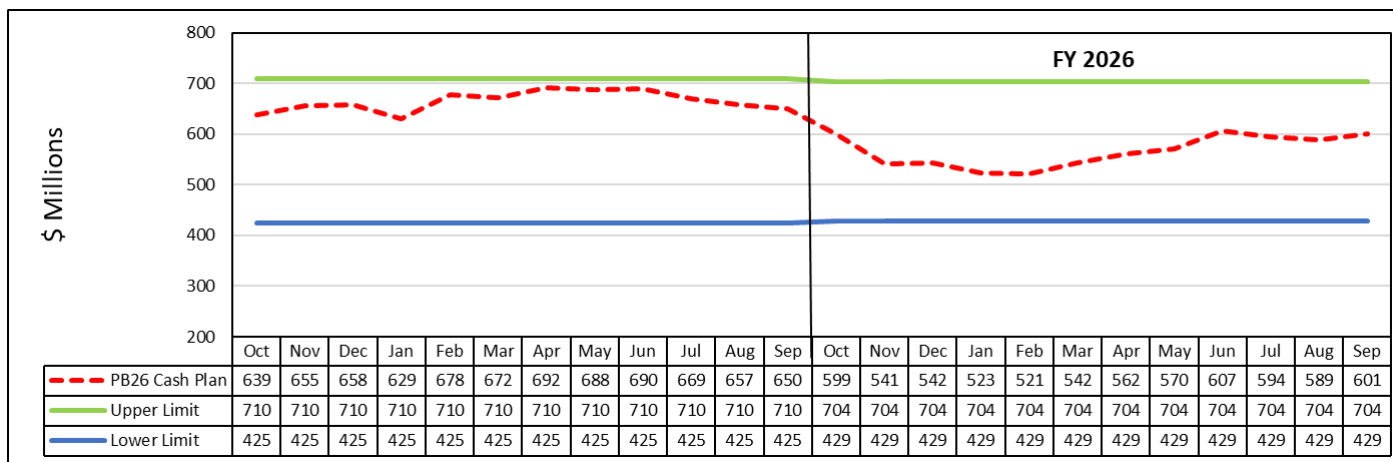


Chart 2.

### Civilian Personnel

Civilian end-strength represents the number of actual number of personnel employed at the end of each fiscal year. Full time equivalents represent the manpower level necessary to accomplish the projected workload on an annual basis. The personnel end strength reflects actual execution in FY 2024 and authorized levels in FY 2025 and FY 2026. Personnel levels include facilities workers, security officers, and general and administrative support positions within the fund.

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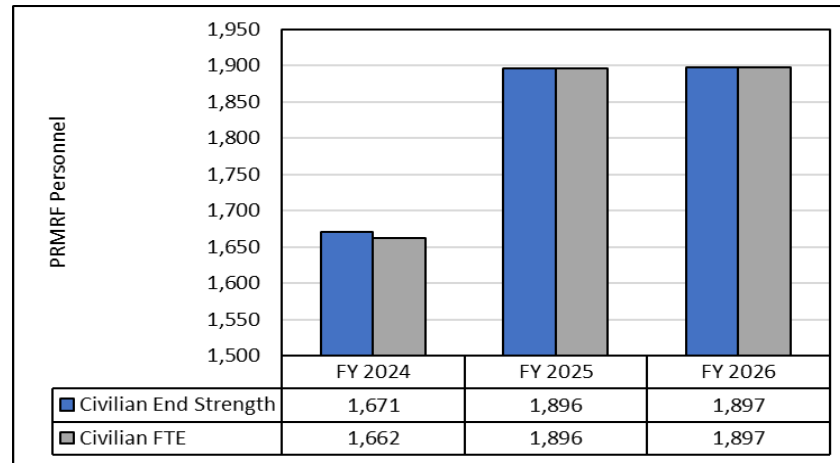


Chart 3.

| Activity                                | FY 2025      | FY 2025      | FY 2026      |
|-----------------------------------------|--------------|--------------|--------------|
| Real Property Operations - RPO          | 674          | 735          | 736          |
| Pentagon Force Protection Agency - PFPA | 952          | 1,161        | 1,161        |
| <b>Total</b>                            | <b>1,626</b> | <b>1,896</b> | <b>1,897</b> |

Table 6.

**Explanation of Staffing Changes:**

The workforce requirements increased from FY 2025 to FY 2026 by 1 positions. The net RPO increase of 1 is classified.

Pentagon Reservation Maintenance Revolving Fund  
Changes in the Costs of Operations  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

(Dollars in Millions)

|                                                                      |                     |
|----------------------------------------------------------------------|---------------------|
|                                                                      | <b><u>Costs</u></b> |
| <b>FY 2024 Estimated Actual:</b>                                     | <b>\$865.445</b>    |
| <b>FY 2024 Estimate in President's Budget:</b>                       | <b>\$913.628</b>    |
| <b>Estimated Impact in FY 2025 of Actual<br/>FY 2024 Experience:</b> | <b>0.000</b>        |
| <b>Pricing Adjustments:</b>                                          | <b>20.750</b>       |
| General Purpose Inflation                                            | 12.446              |
| Price Growth Pay                                                     | 8.304               |
| <b>Program Changes:</b>                                              | <b>-21.447</b>      |
| Compensation and Benefits                                            | 30.059              |
| Materials & Supplies                                                 | 2.828               |
| Advisory and Assistance Services                                     | -71.406             |
| Utilities                                                            | -5.541              |
| Communications                                                       | 22.985              |
| Facilities Maintenance                                               | 0.410               |
| Equipment Maintenance and Purchase                                   | -9.722              |
| Other Purchases/Contracts                                            | 3.107               |
| Travel/Transportation                                                | 5.833               |
| <b>FY 2025 Current Estimate:</b>                                     | <b>\$864.748</b>    |
| <b>Pricing Adjustments:</b>                                          | <b>17.487</b>       |
| General Purchase Inflation                                           | 10.773              |
| Price Growth Pay                                                     | 6.714               |
| <b>Productivity Initiatives and Other Efficiencies:</b>              | <b>0.000</b>        |

Pentagon Reservation Maintenance Revolving Fund  
Changes in the Costs of Operations  
Fiscal Year (FY) 2026 Budget Estimates  
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(Dollars in Millions) (Cont.)

|                                    | <u><b>Costs</b></u> |
|------------------------------------|---------------------|
| <b>Program Changes:</b>            | <b>-90.902</b>      |
| Compensation and Benefits          | 1.671               |
| Material & Supplies                | -1.725              |
| Advisory and Assistance Services   | -9.823              |
| Utilities                          | 0.043               |
| Communications                     | -3.662              |
| Facilities Maintenance             | -50.426             |
| Equipment Maintenance and Purchase | -3.593              |
| Other Purchases/Contracts          | -22.567             |
| Travel/Transportation              | -0.820              |
| <b>FY 2026 Estimate:</b>           | <b>\$791.333</b>    |

Pentagon Reservation Maintenance Revolving Fund  
Source of New Orders & Revenue  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

(Dollars in Millions)

|                                           | <b><u>FY 2024</u></b> | <b><u>FY 2025</u></b> | <b><u>FY 2026</u></b> |
|-------------------------------------------|-----------------------|-----------------------|-----------------------|
| <b>1. New Orders</b>                      |                       |                       |                       |
| <b>a. Orders from DoD Components:</b>     | <b>790.378</b>        | <b>774.227</b>        | <b>724.255</b>        |
| <b>Army</b>                               | <b>133.693</b>        | <b>122.791</b>        | <b>114.953</b>        |
| Operations & Maintenance                  | 133.693               | 122.791               | 114.953               |
| Research Development Testing & Evaluation | 0.000                 | 0.000                 | 0.000                 |
| Procurement                               | 0.000                 | 0.000                 | 0.000                 |
| Military Construction                     | 0.000                 | 0.000                 | 0.000                 |
| Military Personnel                        | 0.000                 | 0.000                 | 0.000                 |
| Family Housing                            | 0.000                 | 0.000                 | 0.000                 |
| Other                                     | 0.000                 | 0.000                 | 0.000                 |
| <b>Navy</b>                               | <b>84.698</b>         | <b>82.542</b>         | <b>75.540</b>         |
| Operations & Maintenance                  | 84.698                | 82.542                | 75.540                |
| Research Development Testing & Evaluation | 0.000                 | 0.000                 | 0.000                 |
| Procurement                               | 0.000                 | 0.000                 | 0.000                 |
| Military Construction                     | 0.000                 | 0.000                 | 0.000                 |
| Military Personnel                        | 0.000                 | 0.000                 | 0.000                 |
| Family Housing                            | 0.000                 | 0.000                 | 0.000                 |
| Other                                     | 0.000                 | 0.000                 | 0.000                 |
| <b>Air Force</b>                          | <b>121.383</b>        | <b>117.324</b>        | <b>109.555</b>        |
| Operations & Maintenance                  | 121.383               | 117.324               | 109.555               |
| Research Development Testing & Evaluation | 0.000                 | 0.000                 | 0.000                 |
| Procurement                               | 0.000                 | 0.000                 | 0.000                 |
| Military Construction                     | 0.000                 | 0.000                 | 0.000                 |
| Military Personnel                        | 0.000                 | 0.000                 | 0.000                 |
| Family Housing                            | 0.000                 | 0.000                 | 0.000                 |
| Other                                     | 0.000                 | 0.000                 | 0.000                 |
| <b>Marine Corps</b>                       | <b>41.366</b>         | <b>39.660</b>         | <b>36.799</b>         |

Pentagon Reservation Maintenance Revolving Fund  
Source of New Orders & Revenue  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

(Dollars in Millions) (Cont.)

|                                                                         | <u>FY 2024</u> | <u>FY 2025</u> | <u>FY 2026</u> |
|-------------------------------------------------------------------------|----------------|----------------|----------------|
| Operations & Maintenance                                                | 41.366         | 39.660         | 36.799         |
| Research Development Testing & Evaluation                               | 0.000          | 0.000          | 0.000          |
| Procurement                                                             | 0.000          | 0.000          | 0.000          |
| Military Construction                                                   | 0.000          | 0.000          | 0.000          |
| Military Personnel                                                      | 0.000          | 0.000          | 0.000          |
| Family Housing                                                          | 0.000          | 0.000          | 0.000          |
| Other                                                                   | 0.000          | 0.000          | 0.000          |
| <b>Defense-Wide</b>                                                     | <b>409.238</b> | <b>411.910</b> | <b>387.408</b> |
| Operations & Maintenance                                                | 409.238        | 411.910        | 387.408        |
| Defense Intelligence Agency                                             | 23.085         | 22.564         | 20.912         |
| Defense Information Systems Agency                                      | 34.628         | 35.582         | 33.504         |
| Defense Logistics Agency                                                | 0.475          | 0.454          | 0.420          |
| Joint Chiefs of Staff                                                   | 102.320        | 107.110        | 100.499        |
| National Geospatial-Intelligence Agency                                 | 1.270          | 1.103          | 1.021          |
| National Security Agency                                                | 0.477          | 0.477          | 0.414          |
| National Guard Bureau                                                   | 4.106          | 3.853          | 3.567          |
| Washington Headquarters Services and Office of the Secretary of Defense | 209.756        | 206.443        | 193.156        |
| Defense Finance and Accounting Service                                  | 0.608          | 0.587          | 0.588          |
| Defense Humas Resources Activity                                        | 10.019         | 6.428          | 6.439          |
| Department of Defense Education Activity                                | 4.732          | 4.566          | 4.574          |
| Department of Defense Inspector General                                 | 13.258         | 12.398         | 12.418         |
| Defense Technology Security Administration                              | 2.366          | 2.283          | 2.287          |
| Office of Military Commission                                           | 0.549          | 0.529          | 0.530          |
| Defense Test Resource Management Center                                 | 1.071          | 1.003          | 1.035          |
| Defense Health Agency                                                   | 0.518          | 6.530          | 6.044          |
| Research Development Testing & Evaluation                               | 0.000          | 0.000          | 0.000          |
| Procurement                                                             | 0.000          | 0.000          | 0.000          |
| Military Construction                                                   | 0.000          | 0.000          | 0.000          |
| Defense Health Program                                                  | 0.000          | 0.000          | 0.000          |

PRMRF Fund-11 Source of New Orders & Revenue

Pentagon Reservation Maintenance Revolving Fund  
Source of New Orders & Revenue  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

(Dollars in Millions) (Cont.)

|                                                                | <b><u>FY 2024</u></b> | <b><u>FY 2025</u></b> | <b><u>FY 2026</u></b> |
|----------------------------------------------------------------|-----------------------|-----------------------|-----------------------|
| Family Housing                                                 | 0.000                 | 0.000                 | 0.000                 |
| Other                                                          | 0.000                 | 0.000                 | 0.000                 |
| <b>b. Orders from other Fund Activities</b>                    | <b>32.410</b>         | <b>59.443</b>         | <b>50.312</b>         |
| Army Working Capital Funds                                     | 0.000                 | 0.000                 | 0.000                 |
| Navy Working Capital Funds                                     | 0.000                 | 0.000                 | 0.000                 |
| Air Force Working Capital Funds                                | 0.000                 | 0.000                 | 0.000                 |
| Defense-wide                                                   | 32.410                | 59.443                | 50.312                |
| Above Standard Orders: Building Services and Space Adjustments | 21.372                | 45.597                | 36.266                |
| Above Standard Orders: Force Protection                        | 10.875                | 11.279                | 11.485                |
| Above Standard Orders: Raven Rock Mountain Complex             | 0.163                 | 2.567                 | 2.561                 |
| Other Working Capital Funds                                    | 0.000                 | 0.000                 | 0.000                 |
| Other                                                          | 0.000                 | 0.000                 | 0.000                 |
| <b>c. Total DoD</b>                                            | <b>822.788</b>        | <b>833.670</b>        | <b>774.567</b>        |
| <b>d. Other Orders:</b>                                        | <b>1.043</b>          | <b>0.975</b>          | <b>1.403</b>          |
| Exchange Activities                                            | 0.000                 | 0.000                 | 0.000                 |
| Trust Funds                                                    | 0.000                 | 0.000                 | 0.000                 |
| Non-Federal Agencies                                           | 1.043                 | 0.975                 | 0.975                 |
| Federal Agencies                                               | 0.000                 | 0.000                 | 0.428                 |
| Foreign Military Sales                                         | 0.000                 | 0.000                 | 0.000                 |
| <b>Total for New Orders</b>                                    | <b>823.831</b>        | <b>834.645</b>        | <b>775.970</b>        |
| 2. Carry-In Orders                                             | 49.482                | 50.000                | 0.000                 |
| <b>3. Total Gross Orders</b>                                   | <b>873.313</b>        | <b>884.645</b>        | <b>775.970</b>        |
| 4. Carry-Out Orders (-)                                        | -53.868               | -50.000               | 0.000                 |

Pentagon Reservation Maintenance Revolving Fund  
Source of New Orders & Revenue  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

(Dollars in Millions) (Cont.)

|                                    | <u>FY 2024</u> | <u>FY 2025</u> | <u>FY 2026</u> |
|------------------------------------|----------------|----------------|----------------|
| <b>5. Gross Sales</b>              | <b>819.445</b> | <b>834.645</b> | <b>775.970</b> |
| 6. Credit (-)                      | 0.000          | 0.000          | 0.000          |
| <b>7. Net Sales</b>                | <b>819.445</b> | <b>834.645</b> | <b>775.970</b> |
| 8. Reimbursable Sales/Other Income | 0.000          | 0.000          | 0.000          |
| <b>9. Total Revenue</b>            | <b>819.445</b> | <b>834.645</b> | <b>775.970</b> |

Pentagon Reservation Maintenance Revolving Fund  
Revenue and Costs  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

(Dollars in Millions)

|                                                       | <b><u>FY 2024</u></b> | <b><u>FY 2025</u></b> | <b><u>FY 2026</u></b> |
|-------------------------------------------------------|-----------------------|-----------------------|-----------------------|
| <b>Income</b>                                         |                       |                       |                       |
| Standard Level                                        | 819.445               | 775.202               | 725.658               |
| Above Standard Level                                  | 0.000                 | 59.443                | 50.312                |
| <b>Total Income</b>                                   | <b>819.445</b>        | <b>834.645</b>        | <b>775.970</b>        |
| <b>Standard Level Expenses:</b>                       |                       |                       |                       |
| <b>Real Property Operations</b>                       | <b>555.798</b>        | <b>480.716</b>        | <b>446.736</b>        |
| Compensation and Benefits                             | 100.659               | 118.591               | 116.603               |
| Utilities and Fuel                                    | 29.334                | 21.236                | 24.986                |
| Other Building Services                               | 78.502                | 57.958                | 60.820                |
| Administration                                        | 42.445                | 20.388                | 17.374                |
| Facilities Operations and Maintenance                 | 192.614               | 131.152               | 143.169               |
| Information Technology (RRMC)                         | 0.000                 | 21.617                | 18.714                |
| Library                                               | 2.682                 | 2.816                 | 0.000                 |
| Acquisition Services                                  | 12.420                | 2.473                 | 0.419                 |
| Misc. Support (Human Resources, Financial Management) | 31.901                | 58.833                | 22.585                |
| Other Services (RRMC)                                 | 13.995                | 4.204                 | 3.938                 |
| Facilities Operations and Maintenance (RRMC)          | 51.246                | 41.448                | 38.128                |
| <b>Pentagon Force Protection Agency</b>               | <b>288.853</b>        | <b>294.486</b>        | <b>278.922</b>        |
| Law Enforcement                                       | 7.876                 | 13.886                | 6.597                 |
| Emergency Management                                  | 2.481                 | 0.827                 | 0.319                 |
| Threat Management                                     | 10.401                | 6.043                 | 4.630                 |
| Security Integration & Technology                     | 57.687                | 52.102                | 49.932                |
| Mission Integration                                   | 29.295                | 26.155                | 20.727                |
| Compensation and Benefits                             | 175.062               | 188.494               | 190.482               |
| Security Services Capital Requirements                | 6.051                 | 6.979                 | 6.235                 |
| <b>Total Standard Level Expenses</b>                  | <b>844.651</b>        | <b>775.202</b>        | <b>725.658</b>        |
| <b>Above Standard Reimbursable Expenses:</b>          |                       |                       |                       |
| <b>Above Standard Real Property Operations</b>        | <b>10.857</b>         | <b>72.246</b>         | <b>48.827</b>         |
| Projects and Services                                 | 6.687                 | 36.033                | 23.435                |
| Compensation / Benefits                               | 4.007                 | 9.564                 | 12.831                |

Pentagon Reservation Maintenance Revolving Fund  
Revenue and Costs  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

|                                                                | <u>FY 2024</u> | <u>FY 2025</u> | <u>FY 2026</u> |
|----------------------------------------------------------------|----------------|----------------|----------------|
| RRMC Projects and Services                                     | 0.163          | 2.567          | 2.561          |
| Additional Planned Spending to balance the AOR                 | 0.000          | 24.082         | 10.000         |
| <b>Above Standard Pentagon Force Protection Agency</b>         | <b>9.937</b>   | <b>17.300</b>  | <b>16.848</b>  |
| Compensation and Benefits                                      | 5.946          | 7.388          | 7.603          |
| Advisory and Assistance Services                               | 2.047          | 1.492          | 1.489          |
| Supplies and Equipment Maintenance                             | 1.944          | 2.399          | 2.393          |
| Additional Planned Spending to balance the AOR                 | 0.000          | 6.021          | 5.363          |
| <b>Total Above Standard Level Expenses</b>                     | <b>20.794</b>  | <b>89.546</b>  | <b>65.675</b>  |
| <b>Total Expenses</b>                                          | <b>865.445</b> | <b>864.748</b> | <b>791.333</b> |
| <b>Operating Result</b>                                        | <b>-46.000</b> | <b>-30.103</b> | <b>-15.363</b> |
| <b>Net Operating Result</b>                                    | <b>-15.897</b> | <b>-30.103</b> | <b>-15.363</b> |
| Prior Year AOR                                                 | 61.363         | 45.466         | 15.363         |
| Other Changes Affecting AOR                                    | 0.000          | 0.000          | 0.000          |
| Non-Recoverable AOR                                            | 0.000          | 0.000          | 0.000          |
| Deferred AOR                                                   | 0.000          | 0.000          | 0.000          |
| <b>Total Accumulated Operating Results for Budget Purposes</b> | <b>45.466</b>  | <b>15.363</b>  | <b>0.000</b>   |
| <b>Other Adjustments Affecting NOR</b>                         | <b>30.103</b>  | <b>0.000</b>   | <b>0.000</b>   |
| Recoveries                                                     | 30.103         | 0.000          | 0.000          |

Pentagon Reservation Maintenance Revolving Fund  
Cost of Service  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

(Dollars in Millions)

| Cost Center               | FY 2024                |                         | FY 2025               |                         | FY 2026               |                         |
|---------------------------|------------------------|-------------------------|-----------------------|-------------------------|-----------------------|-------------------------|
|                           | <u>Square Footage*</u> | <u>Cost per Sq. Ft.</u> | <u>Square Footage</u> | <u>Cost per Sq. Ft.</u> | <u>Square Footage</u> | <u>Cost per Sq. Ft.</u> |
| Pentagon                  | 4,572,938              |                         | 4,572,938             |                         | 4,572,938             |                         |
| Real Property Operations  |                        | \$78.65                 |                       | \$74.39                 |                       | \$67.96                 |
| Pentagon Force Protection |                        | \$57.69                 |                       | \$53.68                 |                       | \$50.59                 |
| <b>Total Cost/SF</b>      |                        | <b>\$136.34</b>         |                       | <b>\$128.07</b>         |                       | <b>\$118.55</b>         |
| Mark Center               | 1,281,580              |                         | 1,281,580             |                         | 1,281,580             |                         |
| Real Property Operations  |                        | \$38.11                 |                       | \$35.75                 |                       | \$37.16                 |
| Pentagon Force Protection |                        | \$13.5                  |                       | \$14.01                 |                       | \$12.68                 |
| <b>Total Cost/SF</b>      |                        | <b>\$51.61</b>          |                       | <b>\$49.76</b>          |                       | <b>\$53.75</b>          |

\* Square footage is the total amount of billable space in the Pentagon and Mark Center Buildings.

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Pentagon Reservation Maintenance Revolving Fund  
Activity Capital Investment Summary  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

|                  |                                   | (Dollars in Millions) |                   |                 |                   |                 |                   |
|------------------|-----------------------------------|-----------------------|-------------------|-----------------|-------------------|-----------------|-------------------|
| <u>Line Item</u> | <u>Item Description</u>           | <u>FY 2024</u>        |                   | <u>FY 2025</u>  |                   | <u>FY 2026</u>  |                   |
|                  |                                   | <u>Quantity</u>       | <u>Total Cost</u> | <u>Quantity</u> | <u>Total Cost</u> | <u>Quantity</u> | <u>Total Cost</u> |
| 1.               | Non-ADPE Equipment                | 1                     | \$6.1             | 1               | \$7.8             | 1               | \$6.8             |
| 2.               | ADPE & Telecom Equip              | 1                     | \$0.0             | 1               | \$13.0            | 1               | \$10.1            |
| 3.               | Software Development              | 0                     | \$0.0             | 0               | \$0.0             | 0               | \$0.0             |
| 4.               | Minor Construction Capabilities   | 1                     | \$19.7            | 1               | \$46.1            | 1               | \$40.1            |
|                  | <b>TOTAL OBLIGATIONS</b>          | <b>3</b>              | <b>\$25.7</b>     | <b>3</b>        | <b>\$66.8</b>     | <b>3</b>        | <b>\$56.9</b>     |
|                  | <b>Total Capital Outlays</b>      | <b>0</b>              | <b>\$0.0</b>      | <b>0</b>        | <b>\$0.0</b>      | <b>0</b>        | <b>\$0.0</b>      |
|                  | <b>Total Depreciation Expense</b> | <b>0</b>              | <b>\$0.0</b>      | <b>0</b>        | <b>\$0.0</b>      | <b>0</b>        | <b>\$0.0</b>      |

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Pentagon Reservation Maintenance Revolving Fund  
Activity Capital Purchase Justification  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

|                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                        |                  |                   |                 |                  |                                   |                 |                  |                   |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------|------------------|-------------------|-----------------|------------------|-----------------------------------|-----------------|------------------|-------------------|
| <b>Activity Group Capital Investment Justification</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | <b>A. Budget Submission</b>            |                  |                   |                 |                  |                                   |                 |                  |                   |
| (\$ in Thousands)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | Fiscal Year 2026 Budget Estimates      |                  |                   |                 |                  |                                   |                 |                  |                   |
| <b>B. Component/Business Area/Date</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | <b>C. Line No and Item Description</b> |                  |                   |                 |                  | <b>D. Activity Identification</b> |                 |                  |                   |
| Pentagon Force Protection Agency                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | Non - ADP Equipment                    |                  |                   |                 |                  |                                   |                 |                  |                   |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | <b>FY 2024</b>                         |                  |                   | <b>FY 2025</b>  |                  |                                   | <b>FY 2026</b>  |                  |                   |
| <b>Element of Cost</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | <b>Quantity</b>                        | <b>Unit Cost</b> | <b>Total Cost</b> | <b>Quantity</b> | <b>Unit Cost</b> | <b>Total Cost</b>                 | <b>Quantity</b> | <b>Unit Cost</b> | <b>Total Cost</b> |
| Non - ADP Equipment                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | 1                                      | \$6,051.000      | \$6,051.000       | 1               | \$6,979.000      | \$6,979.000                       | 1               | \$6,235.000      | \$6,235.000       |
| <b>Narrative Justification</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |                                        |                  |                   |                 |                  |                                   |                 |                  |                   |
| <p>FY 2024: \$6,051 thousand in PFPA initiatives for Access Control, Force Protection, and Video Surveillance Program</p> <ul style="list-style-type: none"> <li>- Video Surveillance Program (\$1,469 thousand)</li> <li>- Electronic Access Control (\$3,700 thousand)</li> <li>- PFPA MILCON Equipment (\$882 thousand)</li> </ul> <p>FY 2025: \$6,979 thousand in PFPA initiatives Access Control, Force Protection, and Video Surveillance Program</p> <ul style="list-style-type: none"> <li>- Video Surveillance Program (\$1,885 thousand)</li> <li>- Electronic Access Control1 (\$1,039 thousand)</li> <li>- PFPA MILCON Equipment (\$4,055 thousand)</li> </ul> <p>FY 2026: \$6,235 thousand in PFPA initiatives Access Control, Force Protection, and Video Surveillance Program</p> <ul style="list-style-type: none"> <li>- Video Surveillance Program (\$1,295 thousand)</li> <li>- Electronic Access Control1 (\$3,818 thousand)</li> <li>- PFPA MILCON Equipment (\$1,122 thousand)</li> </ul> <p>Note: The Sentry capital requirements to upgrade security systems no longer exist and have been replaced by specific Access Control, Force Protection and Equipment projects.</p> |                                        |                  |                   |                 |                  |                                   |                 |                  |                   |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                        |                  |                   |                 |                  |                                   |                 |                  |                   |
| <b>Activity Group Capital Investment Justification</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | <b>A. Budget Submission</b>            |                  |                   |                 |                  |                                   |                 |                  |                   |
| (\$ in Thousands)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | Fiscal Year 2026 Budget Estimates      |                  |                   |                 |                  |                                   |                 |                  |                   |
| <b>B. Component/Business Area/Date</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | <b>C. Line No and Item Description</b> |                  |                   |                 |                  | <b>D. Activity Identification</b> |                 |                  |                   |

Pentagon Reservation Maintenance Revolving Fund  
Activity Capital Purchase Justification  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

|                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |                                        |           |            |          |                                   |              |          |              |              |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------|-----------|------------|----------|-----------------------------------|--------------|----------|--------------|--------------|
| WHS Real Property Operations                                                                                                                                                                                                                                                                                                                                                                                                                                     | Non - ADP Equipment                    |           |            |          |                                   |              |          |              |              |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | FY 2024                                |           |            | FY 2025  |                                   |              | FY 2026  |              |              |
| Element of Cost                                                                                                                                                                                                                                                                                                                                                                                                                                                  | Quantity                               | Unit Cost | Total Cost | Quantity | Unit Cost                         | Total Cost   | Quantity | Unit Cost    | Total Cost   |
| Non - ADP Equipment                                                                                                                                                                                                                                                                                                                                                                                                                                              | 1                                      | \$0.000   | \$0.000    | 1        | \$798.000                         | \$798.000    | 1        | \$524.000    | \$524.000    |
| <b>Narrative Justification</b>                                                                                                                                                                                                                                                                                                                                                                                                                                   |                                        |           |            |          |                                   |              |          |              |              |
| FY 2024: \$0 thousand<br>-Non - ADP Equipment: Firefighting apparatus (\$0 thousand)<br><br>FY 2025 \$798 thousand<br>-Non - ADP Equipment: Firefighting apparatus (\$798 thousand)<br><br>FY 2026 \$525 thousand<br>-Non - ADP Equipment: Firefighting apparatus (\$524 thousand)                                                                                                                                                                               |                                        |           |            |          |                                   |              |          |              |              |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |                                        |           |            |          |                                   |              |          |              |              |
| <b>Activity Group Capital Investment Justification</b>                                                                                                                                                                                                                                                                                                                                                                                                           | <b>A. Budget Submission</b>            |           |            |          |                                   |              |          |              |              |
| (\$ in Thousands)                                                                                                                                                                                                                                                                                                                                                                                                                                                | Fiscal Year 2026 Budget Estimates      |           |            |          |                                   |              |          |              |              |
| <b>B. Component/Business Area/Date</b>                                                                                                                                                                                                                                                                                                                                                                                                                           | <b>C. Line No and Item Description</b> |           |            |          | <b>D. Activity Identification</b> |              |          |              |              |
| WHS Real Property Operations                                                                                                                                                                                                                                                                                                                                                                                                                                     | ADPE and Telecommunications            |           |            |          |                                   |              |          |              |              |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | FY 2024                                |           |            | FY 2025  |                                   |              | FY 2026  |              |              |
| Element of Cost                                                                                                                                                                                                                                                                                                                                                                                                                                                  | Quantity                               | Unit Cost | Total Cost | Quantity | Unit Cost                         | Total Cost   | Quantity | Unit Cost    | Total Cost   |
| ADPE and Telecommunications                                                                                                                                                                                                                                                                                                                                                                                                                                      | 1                                      | \$0.000   | \$0.000    | 1        | \$12,967.000                      | \$12,967.000 | 1        | \$10,097.000 | \$10,097.000 |
| <b>Narrative Justification</b>                                                                                                                                                                                                                                                                                                                                                                                                                                   |                                        |           |            |          |                                   |              |          |              |              |
| FY 2024: \$0 thousand<br>-Lifecycle ADPE hardware and software: Facilities Related Control Systems (FRCS) Replacement (\$0 thousand)<br><br>FY 2025: \$12,967 thousand<br>-Lifecycle ADPE hardware and software: Facilities Related Control Systems (FRCS) replacement in the Pentagon (\$12,967 thousand)<br><br>FY 2026: \$10,097 thousand<br>-Lifecycle ADPE hardware and software: Facilities Related Control Systems (FRCS) replacement (\$10,117 thousand) |                                        |           |            |          |                                   |              |          |              |              |

Pentagon Reservation Maintenance Revolving Fund  
Activity Capital Purchase Justification  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

|                                                                                                                                                                                                                                       |                                        |                  |                   |                 |                  |                                   |                 |                  |                   |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------|------------------|-------------------|-----------------|------------------|-----------------------------------|-----------------|------------------|-------------------|
| Notes:<br>Project deferments in FY 2024 year of execution caused delays in purchasing equipment.<br>Decreased funding in FY 2026 due to program reprioritization and working capital fund efficiency initiatives.                     |                                        |                  |                   |                 |                  |                                   |                 |                  |                   |
|                                                                                                                                                                                                                                       |                                        |                  |                   |                 |                  |                                   |                 |                  |                   |
| <b>Activity Group Capital Investment Justification</b>                                                                                                                                                                                | <b>A. Budget Submission</b>            |                  |                   |                 |                  |                                   |                 |                  |                   |
| (\$ in Thousands)                                                                                                                                                                                                                     | Fiscal Year 2026 Budget Estimates      |                  |                   |                 |                  |                                   |                 |                  |                   |
| <b>B. Component/Business Area/Date</b>                                                                                                                                                                                                | <b>C. Line No and Item Description</b> |                  |                   |                 |                  | <b>D. Activity Identification</b> |                 |                  |                   |
| WHS Real Property Operations                                                                                                                                                                                                          | Minor Construction                     |                  |                   |                 |                  |                                   |                 |                  |                   |
|                                                                                                                                                                                                                                       | <b>FY 2024</b>                         |                  |                   | <b>FY 2025</b>  |                  |                                   | <b>FY 2026</b>  |                  |                   |
| <b>Element of Cost</b>                                                                                                                                                                                                                | <b>Quantity</b>                        | <b>Unit Cost</b> | <b>Total Cost</b> | <b>Quantity</b> | <b>Unit Cost</b> | <b>Total Cost</b>                 | <b>Quantity</b> | <b>Unit Cost</b> | <b>Total Cost</b> |
| Minor Construction                                                                                                                                                                                                                    | 0                                      | \$19,670.000     | \$0.000           | 1               | \$46,088.000     | \$46,088.000                      | 1               | \$40,080.000     | \$40,080.000      |
| <b>Narrative Justification</b>                                                                                                                                                                                                        |                                        |                  |                   |                 |                  |                                   |                 |                  |                   |
| FY 2024 \$19,670 thousand<br>- Pentagon POSAS II space reconstruction (\$11,192 thousand)<br>- RPMC Security updates and upgrades (\$8,478 thousand)                                                                                  |                                        |                  |                   |                 |                  |                                   |                 |                  |                   |
| FY 2025: \$46,088 thousand<br>-RPMC Security updates and upgrades: (\$2,706 thousand)<br>-Mark Center facility maintenance and repairs: (\$14,659 thousand)<br>-Pentagon restoration and maintenance and repairs: (\$28,723 thousand) |                                        |                  |                   |                 |                  |                                   |                 |                  |                   |
| FY 2026: \$40,080 thousand<br>-Mark Center facility maintenance and repairs: (\$12,942 thousand)<br>-Pentagon restoration and maintenance and repairs: (\$27,138 thousand)                                                            |                                        |                  |                   |                 |                  |                                   |                 |                  |                   |

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Pentagon Reservation Maintenance Revolving Fund  
Capital Budget Execution  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

(Dollars in Millions)

| <u>Fiscal Year</u> | <u>Major Category</u>                        | <u>Initial<br/>Request</u> | <u>Current<br/>Proj.<br/>Cost</u> | <u>Approved<br/>Change</u> | <u>Explanation</u>                                                             |
|--------------------|----------------------------------------------|----------------------------|-----------------------------------|----------------------------|--------------------------------------------------------------------------------|
| <b>FY 2024</b>     |                                              |                            |                                   |                            |                                                                                |
|                    | Equipment except ADPE and Telecommunications | 7.100                      | 6.051                             | 0.000                      | Delay in execution of purchases for firefighting apparatus equipment           |
|                    | Equipment - ADPE and Telecommunications      | 6.200                      | 0.000                             | 0.000                      | Project Deferments within the year of execution                                |
|                    | Software Development                         | 0.000                      | 0.000                             | 0.000                      |                                                                                |
|                    | Minor Construction                           | 52.200                     | 19.670                            | 0.000                      | Delay in execution of Pentagon and Mark Center facility maintenance and repair |
|                    | <b>Total FY 2024</b>                         | <b>65.500</b>              | <b>25.721</b>                     | <b>0.000</b>               |                                                                                |
| <b>FY 2025</b>     |                                              |                            |                                   |                            |                                                                                |
|                    | Equipment except ADPE and Telecommunications | 7.775                      | 7.775                             | 0.000                      |                                                                                |
|                    | Equipment - ADPE and Telecommunications      | 12.967                     | 12.967                            | 0.000                      |                                                                                |
|                    | Software Development                         | 0.000                      | 0.000                             | 0.000                      |                                                                                |
|                    | Minor Construction                           | 46.088                     | 46.088                            | 0.000                      |                                                                                |
|                    | <b>Total FY 2025</b>                         | <b>66.830</b>              | <b>66.830</b>                     | <b>0.000</b>               |                                                                                |
| <b>FY 2026</b>     |                                              |                            |                                   |                            |                                                                                |
|                    | Equipment except ADPE and Telecommunications | 6.759                      | 6.759                             | 0.000                      |                                                                                |
|                    | Equipment - ADPE and Telecommunications      | 10.097                     | 10.097                            | 0.000                      |                                                                                |
|                    | Software Development                         | 0.000                      | 0.000                             | 0.000                      |                                                                                |
|                    | Minor Construction                           | 40.080                     | 40.080                            | 0.000                      |                                                                                |
|                    | <b>Total FY 2026</b>                         | <b>56.936</b>              | <b>56.936</b>                     | <b>0.000</b>               |                                                                                |

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# **Washington Headquarters Services Building Maintenance Fund**



**June 2025**

**Fiscal Year (FY) 2026 Budget Estimates**

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WASHINGTON HEADQUARTERS SERVICES  
Building Maintenance Fund  
Summary of Operations  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

Overview

| Summary of Budget Activity                                  |            |            |            |
|-------------------------------------------------------------|------------|------------|------------|
| \$ in Thousands                                             |            |            |            |
| Buildings Maintenance Fund                                  | FY 2024    | FY 2025    | FY 2026    |
| <b>Total Contract Authority (Includes CIP)</b>              | \$ -       | \$ -       | \$ -       |
| Operating Contract Authority                                | \$ -       | \$ -       | \$ -       |
| Capital Investment Program                                  | \$ -       | \$ -       | \$ -       |
| <b>Total Spending Authority from Offsetting Collections</b> | \$ 338,414 | \$ 394,647 | \$ 377,023 |
| Real Property Operations                                    | \$ 286,840 | \$ 333,722 | \$ 318,513 |
| Pentagon Force Protection Agency                            | \$ 51,574  | \$ 60,925  | \$ 58,510  |
| <b>Direct Appropriations</b>                                | \$ -       | \$ -       | \$ -       |
| <b>Total Budget Authority</b>                               | \$ 338,414 | \$ 394,647 | \$ 377,023 |
| Real Property Operations                                    | \$ 286,840 | \$ 333,722 | \$ 318,513 |
| Pentagon Force Protection Agency                            | \$ 51,574  | \$ 60,925  | \$ 58,510  |

Table 1.

| President's Budget 2026 Summary                 |         |         |         |
|-------------------------------------------------|---------|---------|---------|
| Pentagon Reservation Maintenance Revolving Fund | FY 2024 | FY 2025 | FY 2026 |
| <b>Civilian Full Time Equivalents</b>           | 113     | 134     | 134     |
| Real Property Operations                        | 36      | 46      | 46      |
| Pentagon Force Protection Agency                | 77      | 88      | 88      |

Table 2.

WASHINGTON HEADQUARTERS SERVICES  
Building Maintenance Fund  
Summary of Operations  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

| <b>President's Budget 2026 Summary</b>          |                |                |                |
|-------------------------------------------------|----------------|----------------|----------------|
| \$ in Thousands                                 |                |                |                |
| <b>Buildings Maintenance Fund</b>               | <b>FY 2024</b> | <b>FY 2025</b> | <b>FY 2026</b> |
| <b>Total Revenue</b>                            | \$ 324,177     | \$ 380,321     | \$ 368,527     |
| Real Property Operations                        | \$ 308,369     | \$ 322,261     | \$ 310,017     |
| Pentagon Force Protection Agency                | \$ 15,808      | \$ 58,060      | \$ 58,510      |
| <b>Total Expenses</b>                           | \$ 338,414     | \$ 394,647     | \$ 377,023     |
| Real Property Operations                        | \$ 286,840     | \$ 333,722     | \$ 318,513     |
| Pentagon Force Protection Agency                | \$ 51,574      | \$ 60,925      | \$ 58,510      |
| <b>Total Net Operating Result Adjustments</b>   | \$ 14,326      | \$ -           | \$ -           |
| Real Property Operations                        | \$ 14,326      | \$ -           | \$ -           |
| Pentagon Force Protection Agency                | \$ -           | \$ -           | \$ -           |
| <b>Total Accumulated Operating Result (AOR)</b> | \$ 22,822      | \$ 8,496       | \$ -           |
| Real Property Operations                        | \$ 58,588      | \$ 47,127      | \$ 38,631      |
| Pentagon Force Protection Agency                | \$ (35,766)    | \$ (38,631)    | \$ (38,631)    |
| <b>Total Capital Investment Projects</b>        | \$ -           | \$ -           | \$ -           |
| Real Property Operations                        | \$ -           | \$ -           | \$ -           |
| Pentagon Force Protection Agency                | \$ -           | \$ -           | \$ -           |
| <b>Total Direct Appropriations</b>              | \$ -           | \$ -           | \$ -           |
| Real Property Operations                        | \$ -           | \$ -           | \$ -           |
| Pentagon Force Protection Agency                | \$ -           | \$ -           | \$ -           |
| <b>Total Collections</b>                        | \$ 300,474     | \$ 380,321     | \$ 368,527     |
| Real Property Operations                        | \$ 300,474     | \$ 380,321     | \$ 368,527     |
| Pentagon Force Protection Agency                | \$ -           | \$ -           | \$ -           |
| <b>Total Disbursements</b>                      | \$ 304,477     | \$ 373,663     | \$ 380,594     |
| Real Property Operations                        | \$ 304,477     | \$ 316,542     | \$ 321,484     |
| Pentagon Force Protection Agency                |                | \$ 57,121      | \$ 59,110      |
| <b>Total End of Period Cash Balance</b>         | \$ 65,567      | \$ 72,232      | \$ 60,165      |
| <b>Total Cash Lower Operating Limit</b>         | \$ 20,973      | \$ 26,740      | \$ 27,316      |
| <b>Total Cash Upper Operating Limit</b>         | \$ 71,719      | \$ 89,020      | \$ 90,749      |

Table 3.

WASHINGTON HEADQUARTERS SERVICES  
Building Maintenance Fund  
Summary of Operations  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

**Overview**

The Buildings Maintenance Fund (BMF) is a revolving fund that operates under the authority of Section 2208 of Title 10, United States Code (10 U.S.C. §2208). The BMF provides for the operation, maintenance, protection, and repair of 11 federally owned facilities, 54 non-delegated leased facilities, and 19 delegated leased facilities occupied by the Department of Defense (DoD) in the National Capital Region (NCR). The BMF provides space, building services and force protection for DoD components, including Military Departments and other activities located within the NCR. The BMF is managed by the Washington Headquarters Services (WHS) under authority delegated by the General Services Administration (GSA), the Department of Homeland Security (DHS), and finances select activities of WHS and the Pentagon Force Protection Agency (PFPA) within the NCR.

Utilizing the BMF GSA/DHS Rent Program, the WHS collects funds from all DoD tenants in leased facilities throughout the NCR to pay the monthly GSA rent and DHS security bills. DoD tenants pay a user charge for space and basic building services, and tenants who request above standard services pay an additional amount for those services. The program improves DoD oversight of tenant payment status and enables the Department to make timely and efficient payments to GSA and DHS.

The BMF Charter update, effective February 28, 2023, realigns the management and funding of the Mass Transit Benefit Program (MTBP) to the BMF. The DoD MTBP provides mass transit benefits to all DoD organizations within the NCR. Realigning the MTBP to the BMF, significantly improves the efficiency of managing contracts that support the program. As employees are returning to the office, the MTBP benefits costs are rebounding from pandemic related lows to more normal levels.

The following table summarizes BMF actual and estimated obligations by activity group:

| Budget Sub-Activity              | Dollars in Millions |              |              |              |              |
|----------------------------------|---------------------|--------------|--------------|--------------|--------------|
|                                  | FY 2023             | FY2024       | % Change     | FY2025       | % Change     |
|                                  | Operating           | Operating    |              | Operating    |              |
| Real Property Operations         | 286.8               | 333.7        | 14.1%        | 318.5        | -4.8%        |
| Pentagon Force Protection Agency | 51.6                | 60.9         | 15.3%        | 58.5         | -4.1%        |
| <b>Total BMF Obligations</b>     | <b>338.4</b>        | <b>394.6</b> | <b>14.2%</b> | <b>377.0</b> | <b>-4.7%</b> |

Table 4.

Customer rates are set to recover operating costs budgeted for each year. The FY 2026 request reflects a decrease to the rates of approximately -4.7% from FY 2025 rates.

WASHINGTON HEADQUARTERS SERVICES  
Building Maintenance Fund  
Summary of Operations  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

**Budget Narrative**

The operating budget includes annual inflationary adjustments for supplies, equipment, service contracts, and personnel. Roughly 80% of the BMF operating budget are GSA/DHS “pass through” funds. The BMF also provides for a safe and secure environment including, effective, proactive force protection and anti-terrorism programs for National Capital Region leased space personnel, assets and facilities. With return to office mandates going in to effect during FY 2025 the WHS is actively reevaluating space requirements for leased space tenants and planning for updated operating amounts with anticipated occupancy trends.

Changes in the PB 2026 operating budget, compared to FY 2025, reflect efficiency initiatives were undertaken to decrease the operating requirements of the fund during this budget cycle. These initiatives include, but are not limited to, service contract reductions, building operation and maintenance project rephasing, and decreasing travel funds.

In addition to the standard efficiency reduction above standard increases in the operating budget have been included in the budget for the Mass Transit Benefit Program that was moved to the fund at the end of FY 2023 but was not reflected in the budget until FY 2024. With return to office mandates affecting all federal workers in FY 2025 more employees are utilizing the benefits than originally planned in prior budget cycles. The FY 2026 operating budget for this program has been adjusted to account for the increased ridership numbers and benefit reimbursements.

**Activity Group Composition**

**Real Property Operations (RPO):**

RPO fund the safe and efficient operation and management of all DoD delegated buildings within the NCR. RPO include services such as cleaning, preventive maintenance, operation and repair of building mechanical and electrical systems, trash removal, landscaping, metered utilities in leased facilities, mass transit benefits, and administrative support. The scheduled maintenance and day-to-day customer support provide operational continuity for the customer’s mission. The GSA/DHS Rent Program simplifies lease and security payments for BMF customers by combining GSA and DHS costs into one monthly rent bill. The program has significantly improved oversight and visibility of the transactions and costs associated with the BMF.

**Pentagon Force Protection Agency (PFPA):**

The PFPA is responsible for providing law enforcement; force protection; security; counterintelligence; antiterrorism; and chemical, biological, radiological, and nuclear protection to the people, facilities, infrastructure and other resources at the Pentagon Reservation, to the DoD activities within the National Capital Region (NCR), and to the RRMCC. The PFPA is the lead agency for coordination with DoD components, executive departments, agencies, and state and local authorities on matters involving force protection, security, and law enforcement for the Pentagon Reservation and DoD facilities within the NCR. BMF rents fund PFPA activities at leased facilities to include: 24/7 security assistance, law enforcement, and handling of military working dogs; threat reduction / CBRN Protection / COOP / Mission Assurance; Emergency Management / Special Events Support / Antiterrorism Force Protection; Physical Security / Counter small-Unmanned-Aircraft-Systems / Secure Communications; Classified Waste Disposal / Counterintelligence Support, and; High Risk Personnel / Threat Management.

**Cash Management**

WASHINGTON HEADQUARTERS SERVICES  
Building Maintenance Fund  
Summary of Operations  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

The operation of the fund consumes cash with disbursements and replenishes cash with collections from building tenants for rent orders. The FY 2026 cash plan includes all expected collections and disbursements from the operation of both the Real Property and Security activity groups. Chart 1 displays collections and disbursements from the BMF operations. The WHS forecasts slight decreases to both collections and disbursements in FY 2026 compared to FY 2025 as rent orders for Real property are expected to fall for leased tenants due to project rephasing and efficiencies within the fund reducing its operating requirement.

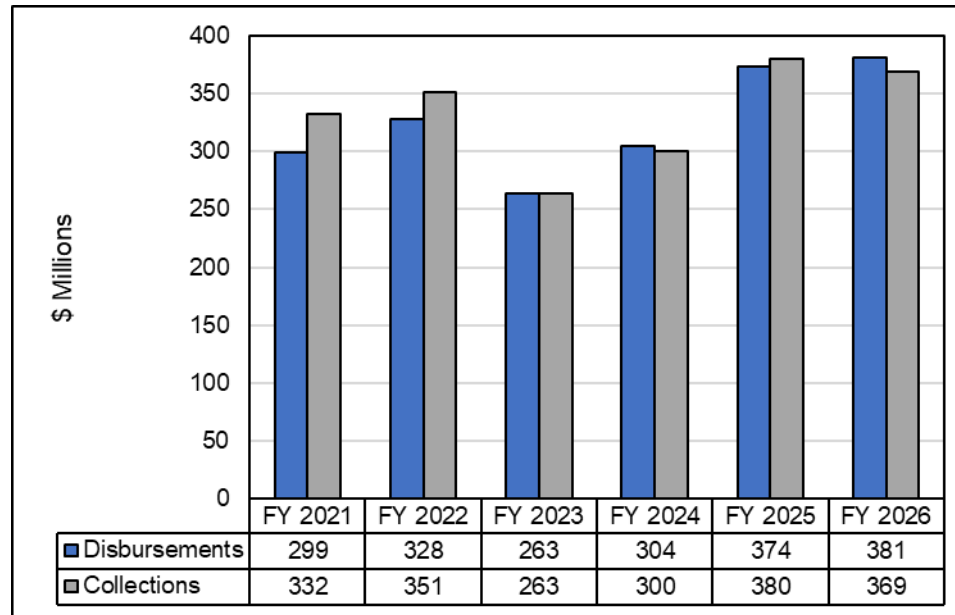


Chart 1.

The cash management plan includes an upper and lower operational cash threshold for the entire fund. The BMF cash requirement is established using a process based on four primary elements: 1) disbursement rate; 2) operation range; 3) risk mitigation; and 4) cash reserves. The specifics amounts for each of the elements can be found in the 13b cash exhibit.

- **Rate of Disbursement:** Anticipated disbursements during the budget year were calculated by applying historical disbursement rates for the base year of FY 2024 plus five previous years (i.e., in FY 2024, BMF anticipates disbursing funds that were obligated in FY 2019 – FY 2024). The total anticipated annual disbursement amount is divided by the 12 monthly collection cycles to obtain an estimated monthly rate of disbursement.
- **Range of Operation:** The lower level of the operational range for cash for FY 2026 is determined by adding the amount needed to fund reserves with the

WASHINGTON HEADQUARTERS SERVICES  
Building Maintenance Fund  
Summary of Operations  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

amount needed for risk mitigation. The upper estimated limit of the operational range is the lower limit plus two months of anticipated disbursements.

- **Risk Mitigation:** The primary risk experienced by the BMF is typically related to delays in receiving orders at the start of the fiscal year. Normal start up delays for our customers to receive appropriations and issue funded orders have been exacerbated by the new normal of experiencing continuing resolutions every year. Other than the significant outlay to GSA and DHS, monthly disbursements are mostly for payroll and contract related costs. BMF passes through the GSA and DHS payments monthly, or as soon as collections are made, so this amount is not included in the amount for risk mitigation. The amount set aside in the FY 2026 budget exhibits for risk mitigation is the monthly anticipated disbursements, net of the monthly amount passed through to GSA and DHS.
- **Reserves:** Enough cash should be available to fund confirmed unpaid obligations, which are funded primarily through rent. Rent from prior years has already been collected and available to fund obligations, so a reserve is identified for unliquidated obligations. Certain obligations reported on financial statements as unpaid are known to have been received by the vendor, so adjustment (where appropriate) has been made in anticipation of the posting of the disbursement.

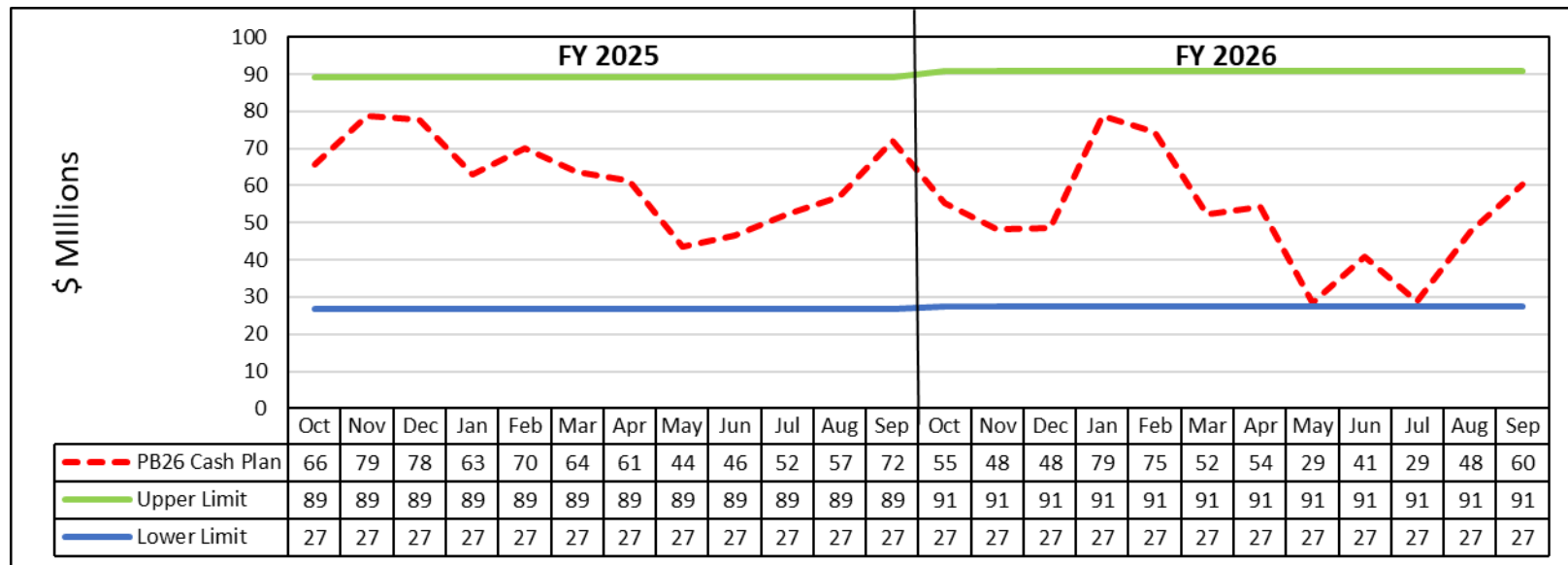


Chart 2.

Chart 2 shows the projected monthly cash balances for FY 2025 and FY 2026. This chart displays how the cash from operations affect the BMF's 2026 Budget Estimates cash balance and where the projected ending balance for each month falls within the upper and lower operating ranges. The lower operational cash

WASHINGTON HEADQUARTERS SERVICES  
Building Maintenance Fund  
Summary of Operations  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

requirement is calculated by adding risk mitigation and reserves for the given fiscal year. The upper operating requirement is calculated by adding the average rate of disbursement to the lower operating requirement.

**Civilian Personnel**

Civilian end-strength represents the number of actual number of personnel employed at the end of each fiscal year. Full time equivalents represent the manpower level necessary to accomplish the projected workload on an annual basis. The personnel end strength reflects actual execution in FY 2024 and authorized levels in FY 2025 and FY 2026. Personnel levels include facilities workers, security officers, and general and administrative support positions within the fund

WASHINGTON HEADQUARTERS SERVICES  
Building Maintenance Fund  
Summary of Operations  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

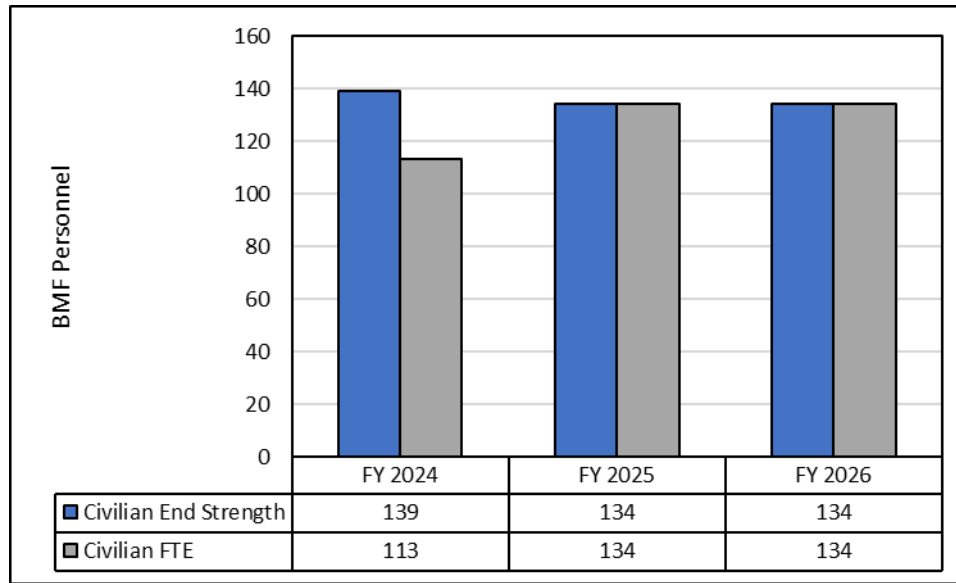


Chart 3.

| Activity                                | FY 2025    | FY 2025    | FY 2026    |
|-----------------------------------------|------------|------------|------------|
| Real Property Operations - RPO          | 36         | 46         | 46         |
| Pentagon Force Protection Agency - PFPA | 77         | 88         | 88         |
| <b>Total</b>                            | <b>113</b> | <b>134</b> | <b>134</b> |

Table 5.

**Explanation of Staffing Changes:** No Change.

Buildings Maintenance Fund  
Changes in the Costs of Operation  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

(Dollars in Millions)

|                                                                                                                                    |                     |
|------------------------------------------------------------------------------------------------------------------------------------|---------------------|
|                                                                                                                                    | <b><u>Costs</u></b> |
| <b>FY 2024 Estimated Actual:</b>                                                                                                   | <b>\$338.414</b>    |
| <b>FY 2024 Estimate in President's Budget:</b>                                                                                     | <b>\$366.700</b>    |
| <b>Estimated Impact in FY 2025 of Actual<br/>FY 2024 Experience:</b>                                                               | <b>0.000</b>        |
| <b>Pricing Adjustments:</b>                                                                                                        | <b>7.585</b>        |
| General Purpose Inflation                                                                                                          | 7.023               |
| Price Growth Pay                                                                                                                   | 0.562               |
| <b>Program Changes:</b>                                                                                                            | <b>48.648</b>       |
| Travel/Transportation/Printing                                                                                                     | -18.475             |
| Compensation and Benefits                                                                                                          | 2.126               |
| Rents & Leases: Change in lease portfolio (GSA and DHS costs). Increase<br>due to costs associated with return to office mandates. | 32.573              |
| Supplies & Material/Engineering Services                                                                                           | 11.643              |
| Other Purchases/Contracts                                                                                                          | -21.907             |
| Facilities Services/Maintenance                                                                                                    | 18.445              |
| Utility Costs                                                                                                                      | -0.469              |
| Advisory and Assistance Services                                                                                                   | 24.712              |
| <b>FY 2025 Current Estimate:</b>                                                                                                   | <b>\$394.647</b>    |
| <b>Pricing Adjustments:</b>                                                                                                        | <b>7.931</b>        |
| Price Growth Pay                                                                                                                   | 0.125               |
| General Purpose Inflation                                                                                                          | 7.806               |
| <b>Productivity Initiatives and Other Efficiencies:</b>                                                                            | <b>0.000</b>        |

Buildings Maintenance Fund  
Changes in the Costs of Operation  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

(Dollars in Millions) (Cont.)

|                                                                                                                                    | <b><u>Costs</u></b> |
|------------------------------------------------------------------------------------------------------------------------------------|---------------------|
| <b>Program Changes:</b>                                                                                                            | <b>-25.555</b>      |
| Travel/transportation/Printing                                                                                                     | -0.001              |
| Compensation and Benefits                                                                                                          | -0.044              |
| Rents & Leases: Change in lease portfolio (GSA and DHS costs). Decrease<br>due to costs associated with leased space consolidation | -8.926              |
| Supplies & Material/Engineering Services                                                                                           | -2.476              |
| Other Purchases/Contracts                                                                                                          | -1.709              |
| Facilities Services/Maintenance                                                                                                    | -19.960             |
| Utility Costs                                                                                                                      | -0.001              |
| Advisory and Assistance Services                                                                                                   | 7.562               |
| <b>FY 2026 Estimate:</b>                                                                                                           | <b>\$377.023</b>    |

Buildings Maintenance Fund  
Source of New Orders & Revenue  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

(Dollars in Millions)

|                                           | <u><b>FY 2024</b></u> | <u><b>FY 2025</b></u> | <u><b>FY 2026</b></u> |
|-------------------------------------------|-----------------------|-----------------------|-----------------------|
| <b>1. New Orders</b>                      |                       |                       |                       |
| <b>a. Orders from DoD Components:</b>     | <b>266.789</b>        | <b>300.283</b>        | <b>295.360</b>        |
| <b>Army</b>                               | <b>46.060</b>         | <b>49.669</b>         | <b>48.855</b>         |
| Operations & Maintenance                  | 46.060                | 49.669                | 48.855                |
| Research Development Testing & Evaluation | 0.000                 | 0.000                 | 0.000                 |
| Procurement                               | 0.000                 | 0.000                 | 0.000                 |
| Military Construction                     | 0.000                 | 0.000                 | 0.000                 |
| Military Personnel                        | 0.000                 | 0.000                 | 0.000                 |
| Family Housing                            | 0.000                 | 0.000                 | 0.000                 |
| Other                                     | 0.000                 | 0.000                 | 0.000                 |
| <b>Navy</b>                               | <b>16.533</b>         | <b>18.942</b>         | <b>18.631</b>         |
| Operations & Maintenance                  | 16.533                | 18.942                | 18.631                |
| Research Development Testing & Evaluation | 0.000                 | 0.000                 | 0.000                 |
| Procurement                               | 0.000                 | 0.000                 | 0.000                 |
| Military Construction                     | 0.000                 | 0.000                 | 0.000                 |
| Military Personnel                        | 0.000                 | 0.000                 | 0.000                 |
| Family Housing                            | 0.000                 | 0.000                 | 0.000                 |
| Other                                     | 0.000                 | 0.000                 | 0.000                 |
| <b>Air Force</b>                          | <b>5.364</b>          | <b>5.631</b>          | <b>5.539</b>          |
| Operations & Maintenance                  | 5.364                 | 5.631                 | 5.539                 |
| Research Development Testing & Evaluation | 0.000                 | 0.000                 | 0.000                 |
| Procurement                               | 0.000                 | 0.000                 | 0.000                 |
| Military Construction                     | 0.000                 | 0.000                 | 0.000                 |
| Military Personnel                        | 0.000                 | 0.000                 | 0.000                 |
| Family Housing                            | 0.000                 | 0.000                 | 0.000                 |
| Other                                     | 0.000                 | 0.000                 | 0.000                 |
| <b>Marine Corps</b>                       | <b>0.000</b>          | <b>0.000</b>          | <b>0.000</b>          |
| Operations & Maintenance                  | 0.000                 | 0.000                 | 0.000                 |

Buildings Maintenance Fund  
Source of New Orders & Revenue  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

(Dollars in Millions) (Cont.)

|                                               | <u><b>FY 2024</b></u> | <u><b>FY 2025</b></u> | <u><b>FY 2026</b></u> |
|-----------------------------------------------|-----------------------|-----------------------|-----------------------|
| Research Development Testing & Evaluation     | 0.000                 | 0.000                 | 0.000                 |
| Procurement                                   | 0.000                 | 0.000                 | 0.000                 |
| Military Construction                         | 0.000                 | 0.000                 | 0.000                 |
| Military Personnel                            | 0.000                 | 0.000                 | 0.000                 |
| Family Housing                                | 0.000                 | 0.000                 | 0.000                 |
| Other                                         | 0.000                 | 0.000                 | 0.000                 |
| <b>Defense-Wide</b>                           | <b>198.832</b>        | <b>226.041</b>        | <b>222.335</b>        |
| Operations & Maintenance                      | 149.942               | 172.077               | 169.256               |
| US Court of Appeals for the Armed Forces      | 2.750                 | 2.944                 | 2.896                 |
| COWARDIN                                      | 0.307                 | 0.359                 | 0.353                 |
| Defense Advanced Research Project Agency      | 22.713                | 22.716                | 22.344                |
| Defense Contract Audit Agency                 | 1.563                 | 1.668                 | 1.641                 |
| Defense Contract Management Agency            | 1.988                 | 2.274                 | 2.237                 |
| Defense Intelligence Agency                   | 33.469                | 35.603                | 35.019                |
| Defense Information Systems Agency            | 10.977                | 15.773                | 15.514                |
| Defense Logistics Agency                      | 1.730                 | 2.590                 | 2.548                 |
| Defense Counterintelligence Security Agency   | 4.481                 | 4.763                 | 4.685                 |
| Defense Legal Services Activity               | 1.757                 | 1.880                 | 1.849                 |
| Defense Media Activity                        | 0.570                 | 0.593                 | 0.583                 |
| Defense Missing Persons Organization          | 1.531                 | 1.688                 | 1.660                 |
| Dept of Defense Inspector General             | 0.000                 | 0.302                 | 0.297                 |
| Dept of Hearings and Appeals                  | 3.055                 | 3.118                 | 3.067                 |
| Defense Security Cooperation Agency           | 4.040                 | 5.255                 | 5.169                 |
| Defense Threat Reduction Agency               | 6.110                 | 6.399                 | 6.294                 |
| Joint Staff                                   | 0.137                 | 0.141                 | 0.139                 |
| Joint Strike Fighter (JSFPO)                  | 8.649                 | 8.980                 | 8.833                 |
| Missile Defense Agency                        | 0.624                 | 0.733                 | 0.721                 |
| Office of Local Defense Community Cooperation | 0.749                 | 0.772                 | 0.759                 |
| Office of Military Commissions                | 4.199                 | 4.985                 | 4.903                 |
| Pentagon Force Protection Agency              | 4.782                 | 4.863                 | 4.783                 |
| Transportation Command                        | 0.085                 | 0.092                 | 0.090                 |

Buildings Maintenance Fund  
Source of New Orders & Revenue  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

(Dollars in Millions) (Cont.)

|                                                                         | <b><u>FY 2024</u></b> | <b><u>FY 2025</u></b> | <b><u>FY 2026</u></b> |
|-------------------------------------------------------------------------|-----------------------|-----------------------|-----------------------|
| White House Management Office                                           | 1.085                 | 1.227                 | 1.207                 |
| Washington Headquarters Services and Office of the Secretary of Defense | 28.094                | 37.012                | 36.406                |
| DOD Classified Programs                                                 | 1.210                 | 1.217                 | 1.197                 |
| Commissions                                                             | 2.457                 | 2.076                 | 2.042                 |
| Def Microelectronics CFT (DMCFT)                                        | 0.268                 | 0.281                 | 0.276                 |
| 5G Cross Functional Team                                                | 0.304                 | 0.320                 | 0.315                 |
| DOD Spec Access Program (SAPCO)                                         | 0.258                 | 0.300                 | 0.295                 |
| Cross Functional Teams                                                  | 0.000                 | 1.153                 | 1.134                 |
| Research Development Testing & Evaluation                               | 0.000                 | 0.000                 | 0.000                 |
| Procurement                                                             | 0.000                 | 0.000                 | 0.000                 |
| Military Construction                                                   | 0.000                 | 0.000                 | 0.000                 |
| Defense Health Program                                                  | 48.890                | 53.964                | 53.079                |
| Family Housing                                                          | 0.000                 | 0.000                 | 0.000                 |
| Other                                                                   | 0.000                 | 0.000                 | 0.000                 |
| <b>b. Orders from other Fund Activities</b>                             | <b>76.824</b>         | <b>80.038</b>         | <b>73.167</b>         |
| Army Working Capital Funds                                              | 0.322                 | 0.000                 | 0.000                 |
| Navy Working Capital Funds                                              | 0.000                 | 0.000                 | 0.000                 |
| Air Force Working Capital Funds                                         | 0.000                 | 0.000                 | 0.000                 |
| Defense-wide                                                            | 76.502                | 80.038                | 73.167                |
| Above Standard Orders: Building Services and Space Adjustments          | 37.203                | 36.432                | 28.819                |
| Above Standard Orders: Force Protection                                 | 15.809                | 20.471                | 20.727                |
| Above Standard Orders: Mass Transit Benefit Program                     | 23.490                | 23.135                | 23.621                |
| Other Working Capital Funds                                             | 0.000                 | 0.000                 | 0.000                 |
| Other                                                                   | 0.000                 | 0.000                 | 0.000                 |
| <b>c. Total DoD</b>                                                     | <b>343.613</b>        | <b>380.321</b>        | <b>368.527</b>        |
| <b>d. Other Orders:</b>                                                 | <b>0.000</b>          | <b>0.000</b>          | <b>0.000</b>          |
| Exchange Activities                                                     | 0.000                 | 0.000                 | 0.000                 |
| Trust Funds                                                             | 0.000                 | 0.000                 | 0.000                 |
| Non-Federal Agencies                                                    | 0.000                 | 0.000                 | 0.000                 |

Buildings Maintenance Fund  
Source of New Orders & Revenue  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

(Dollars in Millions) (Cont.)

|                                    | <u><b>FY 2024</b></u> | <u><b>FY 2025</b></u> | <u><b>FY 2026</b></u> |
|------------------------------------|-----------------------|-----------------------|-----------------------|
| Federal Agencies                   | 0.000                 | 0.000                 | 0.000                 |
| Foreign Military Sales             | 0.000                 | 0.000                 | 0.000                 |
| <b>Total for New Orders</b>        | <b>343.613</b>        | <b>380.321</b>        | <b>368.527</b>        |
| 2. Carry-In Orders                 | 66.088                | 26.000                | 0.000                 |
| <b>3. Total Gross Orders</b>       | <b>409.701</b>        | <b>406.321</b>        | <b>368.527</b>        |
| 4. Carry-Out Orders (-)            | -85.524               | -26.000               | 0.000                 |
| <b>5. Gross Sales</b>              | <b>324.177</b>        | <b>380.321</b>        | <b>368.527</b>        |
| 6. Credit (-)                      | 0.000                 | 0.000                 | 0.000                 |
| <b>7. Net Sales</b>                | <b>324.177</b>        | <b>380.321</b>        | <b>368.527</b>        |
| 8. Reimbursable Sales/Other Income | 0.000                 | 0.000                 | 0.000                 |
| <b>9. Total Revenue</b>            | <b>324.177</b>        | <b>380.321</b>        | <b>368.527</b>        |

Buildings Maintenance Fund  
Revenue and Costs  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

(Dollars in Millions)

|                                                        | <u><b>FY 2024</b></u> | <u><b>FY 2025</b></u> | <u><b>FY 2026</b></u> |
|--------------------------------------------------------|-----------------------|-----------------------|-----------------------|
| <b>Income</b>                                          |                       |                       |                       |
| Standard Level                                         | 247.675               | 300.283               | 295.360               |
| Above Standard Level                                   | 76.502                | 80.038                | 73.167                |
| <b>Total Income</b>                                    | <b>324.177</b>        | <b>380.321</b>        | <b>368.527</b>        |
| <b>Standard Level Expenses:</b>                        |                       |                       |                       |
| <b>Real Property Operations</b>                        | <b>231.097</b>        | <b>262.694</b>        | <b>257.453</b>        |
| Compensation and Benefits                              | 2.434                 | 8.844                 | 8.833                 |
| Utilities and Fuel                                     | 0.272                 | 0.204                 | 0.208                 |
| Other Building Services                                | 15.960                | 3.568                 | 2.977                 |
| Administration                                         | 2.170                 | 1.664                 | 1.035                 |
| GSA/DHS Rent Program                                   | 210.261               | 248.114               | 244.400               |
| Information Technology                                 | 0.000                 | 0.300                 | 0.000                 |
| <b>Pentagon Force Protection Agency</b>                | <b>37.046</b>         | <b>37.589</b>         | <b>37.783</b>         |
| Compensation and Benefits                              | 11.714                | 10.161                | 10.172                |
| Law Enforcement                                        | 19.029                | 18.116                | 18.547                |
| Mission Integration                                    | 1.688                 | 0.337                 | 0.345                 |
| Security Services                                      | 4.615                 | 8.975                 | 8.719                 |
| <b>Total Standard Level Expenses</b>                   | <b>268.143</b>        | <b>300.283</b>        | <b>295.236</b>        |
| <b>Above Standard Reimbursable Expenses:</b>           |                       |                       |                       |
| <b>Above Standard Real Property Operations</b>         | <b>55.743</b>         | <b>71.028</b>         | <b>61.060</b>         |
| RPO -Building Services and Space Adjustments           | 32.635                | 47.893                | 28.943                |
| RPO - Mass Transit Benefit Program                     | 23.108                | 23.135                | 32.117                |
| <b>Above Standard Pentagon Force Protection Agency</b> | <b>14.528</b>         | <b>23.336</b>         | <b>20.727</b>         |
| PFPA - Compensation & Benefits                         | 5.172                 | 3.103                 | 3.184                 |
| PFPA - Advisory and Assistance Services                | 9.356                 | 20.233                | 17.543                |
| <b>Total Above Standard Level Expenses</b>             | <b>70.271</b>         | <b>94.364</b>         | <b>81.787</b>         |
| <b>Total Expenses</b>                                  | <b>338.414</b>        | <b>394.647</b>        | <b>377.023</b>        |
| <b>Other Adjustments Affecting NOR</b>                 | <b>14.326</b>         | <b>0.000</b>          | <b>0.000</b>          |
| Recoveries                                             | 14.326                | 0.000                 | 0.000                 |
| <b>Operating Result</b>                                | <b>-14.237</b>        | <b>-14.326</b>        | <b>-8.496</b>         |

Buildings Maintenance Fund  
Revenue and Costs  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

(Dollars in Millions) (Cont.)

|                                | <u><b>FY 2024</b></u> | <u><b>FY 2025</b></u> | <u><b>FY 2026</b></u> |
|--------------------------------|-----------------------|-----------------------|-----------------------|
| <b>Net Operating Result</b>    | <b>0.089</b>          | <b>-14.326</b>        | <b>-8.496</b>         |
| Prior Year AOR                 | 22.733                | 22.822                | 8.496                 |
| Other Changes Affecting AOR    | 0.000                 | 0.000                 | 0.000                 |
| Non-Recoverable AOR            | 0.000                 | 0.000                 | 0.000                 |
| Deferred AOR                   | 0.000                 | 0.000                 | 0.000                 |
| <b>AOR for Budget Purposes</b> | <b>22.822</b>         | <b>8.496</b>          | <b>0.000</b>          |

Building Maintenance Fund  
Cost of Service  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

(Dollars in Millions)

| Cost Center                                 | FY 2024                |                         | FY 2025               |                         | FY 2026               |                         |
|---------------------------------------------|------------------------|-------------------------|-----------------------|-------------------------|-----------------------|-------------------------|
|                                             | <u>Square* Footage</u> | <u>Cost per Sq. Ft.</u> | <u>Square Footage</u> | <u>Cost per Sq. Ft.</u> | <u>Square Footage</u> | <u>Cost per Sq. Ft.</u> |
| US Court of Appeals for<br>the Armed Forces | 26,009                 |                         | 26,009                |                         | 26,009                |                         |
| Real Property<br>Operations                 |                        | \$105.59                |                       | \$145.65                |                       | \$148.56                |
| Pentagon Force<br>Protection                |                        | \$14.21                 |                       | \$115.34                |                       | \$117.65                |
| Security Services**                         |                        | \$116.15                |                       | \$119.38                |                       | \$121.77                |
| <b>Total Cost/SF</b>                        |                        | <b>\$235.95</b>         |                       | <b>\$380.38</b>         |                       | <b>\$387.98</b>         |

Square footage is the total amount of billable space in the building.

FY 25 Amounts reflect the fully burdened RPO and PFPA costs that are now being budgeted for by the USCAAF as per their 2025 O&M Justification book.

Security Services are provided by Pentagon Force Protection Agency on a reimbursable (above standard) basis.

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# **Defense Logistics Agency - Strategic Materials National Defense Stockpile Transaction Fund**



**Fiscal Year (FY) 2026 Budget Estimates  
June 2025**

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DEFENSE LOGISTICS AGENCY  
National Defense Stockpile Transaction Fund  
Summary of Operations  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

**Description of Operations**

The Defense Logistics Agency Strategic Materials (DLA-SM) operates under the authority of the Strategic and Critical Materials Stockpiling Act (50 U.S.C. §98, et seq.). The Stockpiling Act provides for the acquisition and retention of certain strategic and critical materials in the National Defense Stockpile (NDS) to serve the interest of national defense. The Act also encourages the conservation and development of sources of such materials within the United States to mitigate dangerous and costly dependence upon foreign or single sources of supply in times of national emergency. DLA-SM identifies risks and develops mitigation strategies for the supply chain of defense and essential civilian industrial materials. DLA-SM activities include acquisition, storage, disposal, and management of the NDS.

DLA-SM will continue to mitigate risks by executing strategies such as research and development, acquisition of new materials to upgrade the NDS material inventory, qualification of domestic firms to expand supplier base, and recycling programs to recover critical materials.

**Funding:**

Historically, reimbursable funding through the sale of NDS materials deemed excess to requirements provided the source of funds for operations and new acquisitions of strategic and critical materials necessary to mitigate identified emerging supply chain risks. Proceeds from sales of excess materials are deposited to the NDS Transaction Fund (NDSTF), the revolving fund established to transact NDS business. The fund's cash corpus and salable assets have significantly diminished over the past decades. The remaining quantities of NDS materials excess to NDS needs are insufficient to fully finance the program.

In FYs 2022 through FY 2025, the NDSTF received the following appropriations for strategic and critical material acquisitions.

The Consolidated Appropriation Act, 2022 (P.L. 117-103), Title VII, Section 8035 provides \$125 million in Direct funding in FY 2022 for acquisitions with funds availability through FY 2024. DLA-SM completed execution in FY 2024.

The Consolidated Appropriation Act, 2023 (P.L. 117-328), Title VIII, Section 8034 provides \$93.5 million, and Section 8005 provides \$20 million in Direct funding in FY 2023 for acquisitions with funds availability through FY 2025. DLA-SM completed the \$113.5 million execution in FY 2024.

The Further Consolidated Appropriations Act, 2024 (P.L. 118-47), Title VIII, Section 8034 provides \$50 million in Direct funding in FY 2024 for acquisitions with funds availability through FY 2026. To date, \$22.1 million has been executed and \$20 million is in commitment status for acquisition. Execution is on schedule.

The Full-Year Continuing Appropriations and Extensions Act, 2025 (P.L. 119-4), Section 1101 provides \$50 million in Direct funding in FY 2025 for acquisitions with funds availability through FY 2027 and Section 1406 provides \$7.629 million in Direct funding available until expended. DoD is in the process of submitting the execution plan to the defense congressional committees and in accordance with the Act, DLA may begin execution after 30 days pass from the plan's submission date.

DLA is requesting direct funding in the amount of \$5.7 million in FY 2026 to acquire and stockpile additional high priority critical materials.

DEFENSE LOGISTICS AGENCY  
National Defense Stockpile Transaction Fund  
Summary of Operations  
Fiscal Year (FY) 2026 Budget Estimates  
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DLA and the Department continue efforts to mitigate long-term financial risks impacting mission capabilities.

DEFENSE LOGISTICS AGENCY  
National Defense Stockpile Transaction Fund  
Summary of Operations  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

**Sales Program:**

Offerings of select strategic and critical material quantities deemed excess to current NDS requirement levels are currently projected to complete in FY 2026. Thereafter, DLA-SM plans no ongoing offerings, and any quantities offered for sale may be minimal or for material upgrading or recharacterization purposes. When excess stocks are available, the Stockpiling Act provides for operation of a competitive sales program. Sales proceeds are deposited to the NDSTF revolving fund and remain as NDS Program resources until expended.

| <b><u>(USD in Millions)</u></b> | <b>FY 2024</b> | <b>FY 2025</b> | <b>FY 2026</b> |
|---------------------------------|----------------|----------------|----------------|
| Collections                     | <u>37.9</u>    | <u>42.0</u>    | <u>12.5</u>    |
| <b>Total</b>                    | <b>\$37.9</b>  | <b>\$42.0</b>  | <b>\$12.5</b>  |

**Acquisitions:**

In FY 2022, DLA received direct funding in the amount of \$125 million for strategic and critical material acquisitions with period of availability through FY 2024. \$125 million has been executed as of August 2024. In FY 2023, DLA received direct funding in the amount of \$20 million to acquire titanium, and \$93.5 million for other acquisitions with period of availability through FY 2025. \$113.5 million has been executed as of August 2024. In FY 2024, DLA received direct funding in the amount of \$50 million for material acquisitions with period of availability through FY 2026. DLA executed \$22.1 million and is on schedule to complete execution as planned. In FY 2025, DLA received \$50 million for material acquisitions with period of availability through FY 2027 and \$7.6 million with availability until expended. Execution is expected to primarily occur in FY 2026. DLA is requesting \$5.8 million in direct appropriations in FY 2026.

For reimbursable funding of strategic and critical material acquisitions, FY 2026 budget estimate to acquire lanthanum is \$0.9 million, a \$0.5 million decrease from FY 2025.

Acquisitions of critical materials for stockpiling with limited supply sources may be delayed if international or domestic conditions further restrict availability.

Additional program strategies include recycling of critical materials from surplus Federal assets and creating domestic sources of supply to help reduce or eliminate the need to stockpile certain materials.

DEFENSE LOGISTICS AGENCY  
National Defense Stockpile Transaction Fund  
Summary of Operations  
Fiscal Year (FY) 2026 Budget Estimates  
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**Labor:**

The FY 2026 labor budget is for 65 FTEs and remains \$11.6 million. DLA-SM will continue to identify and close emerging skill gaps, enabling the agency to carry out its mission. Resources requested ensure optimal staffing levels to achieve NDS program objectives. Staff performs managerial and operational duties, provides technical expertise, supports congressional and presidential directives to add material to the stockpile, engages in recycling, and pursues domestic qualification for strategic and critical materials. Labor costs for the NDS program are currently in a steady state.

**Non-Labor:**

**Audit Sustainment Program:** The FY2026 budget estimate increases \$6.9 million from FY 2025 to better align the budget with substantive testing costs that may occur. DLA received an unmodified clean opinion on the NDS Transaction Fund from the Independent Public Auditor for FY 2024 and hopes to sustain the opinion.

**Mobilization Studies Program:** The FY 2026 budget estimate increases \$3.1 million from FY 2025 primarily due to increasing costs for specialized analytics used to identify and plan mitigation for risk scenarios. The program supports ongoing and emerging materials analysis and materials market studies. The program comprises a broad range of research and analysis techniques that enable DLA-SM to gain a clear and comprehensive understanding of the requirements and vulnerabilities of U.S. defense and essential civilian industries. These research, analysis and development projects support reconstitution and expansion of stockpiling capabilities, through (1) laboratory-based scientific research and analysis, (2) expanded processes to model material supply chains downstream from mines to finished platforms, (3) development of effective risk mitigation strategies and (4) development of additional data collection and evaluation methods from industry and academia.

**Material Handling and Testing Programs:** The FY 2026 budget estimate decreases \$0.7 million from FY 2025 due to better cost certainty. The programs support care and quality control of stockpile materials including fees for vendor managed storage and handling/testing requirements for stored materials, newly acquired materials, and material upgrades. Major program cost drivers are: (1) long term mercury repackaging/storage operations, (2) existing and newly acquired materials including strategic energetics reserves, (3) reclamation of select surplus materials from Federal Agencies suitable for the NDS and storage of semi-processed NDS materials at vendor locations to expedite finished processing in the event these materials are required in a contingency.

**Rents and Leases:** The FY 2026 budget estimate increases \$0.3 million from FY 2025 due to square footage rate increases. Real property rental and leasing required to support stockpiling operations include warehouses, administrative buildings, service buildings and open land for outdoor storage obtained through occupancy agreements with the General Services Administration (GSA), other Federal Agencies, or commercial leases.

**Depot Operations:** The FY 2026 budget estimate has net decrease of \$0.8 million from FY 2025, primarily due to better certainty on program costs. Depot Operations are costs associated with operating and maintaining the day-to-day depot mission, including depot support for material audit, material handling and testing support, security, operations, maintenance, janitorial services, fuel, and equipment.

**Environmental:** The FY 2026 budget estimate increases \$0.6 million, primarily to support potential environmental impact statement work at manned depots. Currently, plans for remediation work at Pt. Pleasant are on hold since the unmanned site is still an active storage location. The Sommerville project is nearing

DEFENSE LOGISTICS AGENCY  
National Defense Stockpile Transaction Fund  
Summary of Operations  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

completion and scope of soil remediation actions are smaller compared to previous years. The Somerville project is a multimillion-dollar, long term project to remediate soil and groundwater contamination at the site. Groundwater remediation, wetlands remediation and restoration, permits, inspections, and reports are ongoing. Costs include normal compliance requirements to sustain an environmental compliance program and environmental management system, perform compliance audits, and pay fees of approximately \$400-600 thousand per year. Other costs include annual renewal and maintenance of Radiation Safety Program, the NRC license at Scotia, NY, and implementation and maintenance of the integrated International Organization of Standards (ISO) at all three staffed depots – Scotia, Hammond, and Hawthorne. DLA-SM potentially may be required to complete additional environmental assessments or impact statements for future projects under consideration, dependent on specifics of the materials being acquired or recharacterized.

**Other Programs:** FY 2026 budget estimates also increase from FY 2025 for the following: Information Technology increases \$1 million due to rising costs, Real Property Maintenance increases \$0.4 million for general road and roof repairs at the Hammond and Scotia depots, Transportation increases \$0.7 million primarily due to costs associated with transporting energetic material acquisitions, Contractual Services for depot security, janitorial service, mowing and landscaping increases \$0.4 million due to rising service prices.

DLA and the Department continue to work to mitigate long-term financial risks impacting mission capabilities. These ongoing efforts seek to ensure a sustainable and robust stockpile of strategic and critical materials to protect the United States against supply chain disruptions during times of national emergency.

**Budget Highlights:**

(USD in Millions)

| <b>Appropriations</b>             | <b>FY 2024</b> | <b>FY 2025</b> | <b>FY 2026</b> |
|-----------------------------------|----------------|----------------|----------------|
| Acquisitions of Materials         | 50.0           | 57.6           | 5.7            |
| <b>Reimbursable Program Costs</b> | <b>FY 2024</b> | <b>FY 2025</b> | <b>FY 2026</b> |
| Labor                             | 9.2            | 11.6           | 11.6           |
| Non-Labor                         | 48.1           | 35.3           | 46.6           |
| Acquisitions of Materials         | 4.3            | 1.4            | 0.9            |
| Environmental                     | <u>4</u>       | <u>1.0</u>     | <u>1.6</u>     |
| <b>Total</b>                      | <b>\$62.0</b>  | <b>\$49.3</b>  | <b>\$60.7</b>  |

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National Defense Stockpile Transaction Fund  
Statement of Financial Condition  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

(Dollars in Millions)

|                                   | <u>FY 2024</u> | <u>FY 2025</u> | <u>FY 2026</u> |
|-----------------------------------|----------------|----------------|----------------|
| <b>Assets</b>                     |                |                |                |
| Selected Assets:                  |                |                |                |
| Cash (EOY)                        | 540.263        | 520.600        | 418.100        |
| Accounts Receivable               | 0.833          | 0.000          | 0.000          |
| Inventories                       | 415.780        | 435.000        | 490.000        |
| Other Asset Accounts:             | 0.130          | 0.000          | 0.000          |
| Advance and Prepayments:          | 1.257          | 0.000          | 0.000          |
| <b>Total Assets</b>               | <b>958.263</b> | <b>955.600</b> | <b>908.100</b> |
| <b>Liabilities</b>                |                |                |                |
| Selected Liabilities:             |                |                |                |
| Accounts Payable                  | 24.081         | 15.000         | 15.000         |
| Advances Received                 | 0.000          | 0.000          | 0.000          |
| Environmental Clean-up Liability  | 13.449         | 12.000         | 10.000         |
| Other Liabilities                 | 0.239          | 2.000          | 2.000          |
| <b>Total Liabilities</b>          | <b>37.769</b>  | <b>29.000</b>  | <b>27.000</b>  |
| <b>Government Equity</b>          |                |                |                |
| Cumulative Results of Operations  | 920.494        | 926.600        | 881.100        |
| <b>Total Government Equity</b>    | <b>920.494</b> | <b>926.600</b> | <b>881.100</b> |
| <b>Total Liability and Equity</b> | <b>958.263</b> | <b>955.600</b> | <b>908.100</b> |

NDSTF Fund-23 Statement of Financial  
Condition

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National Defense Stockpile Transaction Fund  
Stockpile Financial Status Report  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

(Dollars in Millions)

|                                                                                                | FY 2024      | FY 2025      | FY 2026      |
|------------------------------------------------------------------------------------------------|--------------|--------------|--------------|
| <b>Cash Balance, End of Prior Year</b>                                                         | <b>579.8</b> | <b>540.3</b> | <b>520.6</b> |
| <b>Direct Program</b>                                                                          | <b>50.0</b>  | <b>57.6</b>  | <b>5.7</b>   |
| Consolidated Appropriations Act, 2022; P.L. 117-103 SEC8035 (PoA FY 2022 - FY 2024)            | 0.0          | 0.0          | 0.0          |
| Consolidated Appropriations Act, 2023; P.L. 117-328 SEC8034 (PoA FY 2023 - FY 2025)            | 0.0          | 0.0          | 0.0          |
| Consolidated Appropriations Act, 2023; P.L. 117-328 SEC8005 (PoA FY 2023 - FY 2025)            | 0.0          | 0.0          | 0.0          |
| Further Consolidated Appropriations Act, 2024; P.L. 118-47 SEC8034 (PoA FY 2024 – FY 2026)     | 50.0         | 0.0          | 0.0          |
| Full-Year Cont. Appropriations & Extens. Act, 2025; P.L. 119-4 SEC1101 (PoA FY 2025 – FY 2027) | 0.0          | 50.0         | 0.0          |
| Full-Year Cont. Appropriations & Extens. Act, 2025; P.L. 119-4 SEC1406 (PoA unexpiring)        | 0.0          | 7.6          | 0.0          |
| Direct Appropriation Request                                                                   | 0.0          | 0.0          | 5.7          |
| <b>Disbursements (Direct)</b>                                                                  | <b>72.5</b>  | <b>70.0</b>  | <b>60.0</b>  |
| Labor                                                                                          | 0.0          | 0.0          | 0.0          |
| Non-Labor                                                                                      | 0.0          | 0.0          | 0.0          |
| Other Program Costs                                                                            | 72.5         | 70.0         | 60.0         |
| <b>Reimbursable Program</b>                                                                    |              |              |              |
| Collections                                                                                    | 37.9         | 42.0         | 12.5         |
| <b>Disbursements (Reimbursable)</b>                                                            | <b>54.9</b>  | <b>49.3</b>  | <b>60.7</b>  |
| Labor                                                                                          | 9.2          | 11.6         | 11.6         |
| Non-Labor                                                                                      | 41.4         | 36.2         | 48.1         |
| Other Program Costs                                                                            | 4.3          | 1.4          | 0.9          |
| <b>Cash Balance, End of Year</b>                                                               | <b>540.3</b> | <b>520.6</b> | <b>418.1</b> |
| <b>Selected Liabilities</b>                                                                    | <b>211.0</b> | <b>164.0</b> | <b>127.0</b> |
| Accounts Payable                                                                               | 29.5         | 15.0         | 15.0         |
| Advances Received                                                                              | 0.0          | 0.0          | 0.0          |
| Environmental Clean-up Liability                                                               | 13.4         | 12.0         | 10.0         |
| Other Liabilities                                                                              | 0.2          | 2.0          | 2.0          |
| Undelivered Orders                                                                             | 167.8        | 130.0        | 100.0        |
| Other Contingencies (Sequester)                                                                | 0.0          | 0.0          | 0.0          |

National Defense Stockpile Transaction Fund  
Stockpile Financial Status Report  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

(Dollars in Millions) (Cont.)

|                          | FY 2024 | FY 2025 | FY 2026 |
|--------------------------|---------|---------|---------|
| Estimated Available Cash | 329.3   | 356.6   | 291.1   |

National Defense Stockpile Transaction Fund  
Changes in the Costs of Operation  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

| (\$ in Millions)                                                     |                           |
|----------------------------------------------------------------------|---------------------------|
| <b>FY 2024 Estimated Actual:</b>                                     | <b>Costs<br/>\$61.991</b> |
| <b>FY 2025 Estimate in President's Budget:</b>                       | <b>\$49.261</b>           |
| <b>Estimated Impact in FY 2025 of Actual<br/>FY 2024 Experience:</b> | <b>0</b>                  |
| <b>Pricing Adjustments:</b>                                          | <b>0.998</b>              |
| Nonlabor                                                             | 0.258                     |
| Labor                                                                | 0.740                     |
| <b>Program Changes:</b>                                              | <b>-13.728</b>            |
| Civilian Personnel Compensation                                      | 2.230                     |
| Travel & Transportation of Personnel                                 | 0.118                     |
| Material (For Stockpiling)                                           | 1.425                     |
| Material & Supplies                                                  | -0.041                    |
| Equipment                                                            | 0.000                     |
| Transportation of Things                                             | -0.550                    |
| Printing & Reproduction                                              | 0.000                     |
| Rent, Communication, Utilities and Misc. Charges                     | 0.106                     |
| Other Purchased Service                                              | -17.016                   |
| Transfers                                                            | 0.000                     |
| <b>FY 2025 Current Estimate:</b>                                     | <b>\$49.261</b>           |
| <b>Pricing Adjustments:</b>                                          | <b>1.043</b>              |
| Nonlabor                                                             | 0.058                     |
| Labor                                                                | 0.985                     |
| <b>Productivity Initiatives and Other Efficiencies:</b>              | <b>0</b>                  |
| <b>Program Changes:</b>                                              | <b>10.388</b>             |
| Civilian Personnel Compensation                                      | -0.048                    |
| Travel & Transportation of Personnel                                 | 0.000                     |
| Material (For Stockpiling)                                           | 0.926                     |
| Material & Supplies                                                  | -0.004                    |
| Equipment                                                            | 0.000                     |
| Transportation of Things                                             | 0.641                     |
| Printing & Reproduction                                              | 0.000                     |
| Rent, Communication, Utilities and Misc. Charges                     | 0.075                     |
| Other Purchased Service                                              | 8.798                     |
| Transfers                                                            | 0.000                     |
| <b>FY 2026 Estimate:</b>                                             | <b>\$60.692</b>           |

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# **Defense Counterintelligence Security Agency**

## **Working Capital Fund**



**Fiscal Year (FY) 2026 Budget Estimates**  
**June 2025**

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Defense Counterintelligence Security Agency  
Revolving Funds  
Narrative  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

| <b>Summary of Budget Authority</b>                          |                  |                  |                  |
|-------------------------------------------------------------|------------------|------------------|------------------|
| \$ in Thousands                                             |                  |                  |                  |
| <b>DCSA Working Capital Fund</b>                            | <b>FY 2024</b>   | <b>FY 2025</b>   | <b>FY 2026</b>   |
| <b>Total Contract Authority (Includes CIP)</b>              | -                | -                | -                |
| Operating Contract Authority                                | -                | -                | -                |
| Capital Investment Program (CIP)                            | -                | -                | -                |
| <b>Total Spending Authority from Offsetting Collections</b> | <b>1,740,700</b> | <b>2,180,342</b> | <b>1,847,670</b> |
| <b>Direct Appropriations, Total</b>                         | -                | -                | -                |
| <b>Total Budget Authority</b>                               | <b>1,740,700</b> | <b>2,180,342</b> | <b>1,847,670</b> |

*Table 1. Summary of Budget Authority*

| <b>President's Budget 2026 Summary</b> |                |                |                |
|----------------------------------------|----------------|----------------|----------------|
| Personnel Data                         |                |                |                |
| <b>DCSA Working Capital Fund</b>       | <b>FY 2024</b> | <b>FY 2025</b> | <b>FY 2026</b> |
| <b>Civilian Full Time Equivalents</b>  | <b>3,554</b>   | <b>4,397</b>   | <b>3,872</b>   |

*Table 2. Summary of Civilian Full Time Equivalents*

Defense Counterintelligence Security Agency  
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| <b>President's Budget 2026 Summary</b>          |                  |                    |                  |
|-------------------------------------------------|------------------|--------------------|------------------|
| \$ in Thousands                                 |                  |                    |                  |
| <b>DCSA Working Capital Fund</b>                | <b>FY 2024</b>   | <b>FY 2025</b>     | <b>FY 2026</b>   |
| <b>Total Revenue</b>                            | <b>1,186,669</b> | <b>1,551,984</b>   | <b>1,757,352</b> |
| <b>Total Expenses</b>                           | <b>1,774,979</b> | <b>2,180,342</b>   | <b>1,847,670</b> |
| <b>Total Operating Result</b>                   | <b>(588,310)</b> | <b>(628,358)</b>   | <b>(90,317)</b>  |
| <b>Total Net Operating Result Adjustments</b>   | <b>-</b>         | <b>-</b>           | <b>-</b>         |
| <b>Total Net Operating Result</b>               | <b>(588,310)</b> | <b>(628,358)</b>   | <b>(90,317)</b>  |
| <b>Total Accumulated Operating Result (AOR)</b> | <b>(422,736)</b> | <b>(1,051,094)</b> | <b>-</b>         |
| <b>Total Capital Investment Projects</b>        | <b>-</b>         | <b>-</b>           | <b>-</b>         |
| <b>Total Direct Appropriations</b>              | <b>-</b>         | <b>-</b>           | <b>-</b>         |
| <b>Total Transfers</b>                          | <b>309</b>       | <b>(95,000)</b>    | <b>-</b>         |
| <b>Total Collections</b>                        | <b>1,218,815</b> | <b>1,788,478</b>   | <b>1,831,726</b> |
| <b>Total Disbursements</b>                      | <b>1,692,336</b> | <b>2,098,310</b>   | <b>1,947,570</b> |
| <b>Total End of Period Cash Balance</b>         | <b>958,754</b>   | <b>553,922</b>     | <b>438,078</b>   |
| <b>Total Cash Lower Operating Limit</b>         | <b>1,093,000</b> | <b>490,000</b>     | <b>330,000</b>   |
| <b>Total Cash Upper Operating Limit</b>         | <b>1,308,000</b> | <b>670,000</b>     | <b>510,000</b>   |

*Table 3. Summary of DCSA Working Capital Fund Metrics*

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The Defense Counterintelligence and Security Agency (DCSA) Personnel Vetting (PV) mission executes the functions of the investigative service provider (ISP) for most of the federal government, helping to ensure the trustworthiness and integrity of the military, federal and contract workforce government-wide by delivering national security and suitability personnel security products and services. The DCSA offers its federal customers a variety of investigative products and services to meet specific personnel security customer demands. The DCSA accomplishes end-to-end background investigation (BI) case processing, which includes record reviews, fieldwork, and quality assurance. Under the PV mission, DCSA combines BI with continuous vetting (CV), other screening services, personnel security adjudication services, customer/stakeholder engagements, internal policy and procedural guidance, and on-going key performance analyses, to provide full PV services for its 100-plus federal agency customers. These PV mission activities are underpinned by support services provided by other DCSA offices, other Department of Defense (DoD) activities, and the Office of Personnel Management (OPM).

On October 1, 2019, the DoD, pursuant to section 2208 of Title 10, United States Code, established the DCSA Working Capital Fund (WCF) to finance the PV BI mission. With the OUSD(C) approval of an updated DCSA WCF Charter in August 2024, the DCSA WCF now finances the end-to-end PV mission, including BI, CV, and adjudications (ADJ).

Fieldwork for BI is accomplished by a DCSA workforce composed of both federal and contract investigators. The investigations are supported by a team that requests, processes, conducts, analyzes, and reports the results of over 25 million annual investigative record reviews from federal, state, local, and vendor data repositories that encompass individual BIs. Investigative products are reviewed by a quality assurance team to ensure conformance with Federal Investigative Standards (FIS) in compliance with appropriate laws, regulations, executive orders, adjudicative guidelines, and policies. Each product is evaluated to determine its sufficiency for delivery to DCSA customers for adjudication, reopened for missing items or scheduled for additional investigative work as necessary, or sent to the DCSA Counterintelligence Directorate for evaluation and potential referral to outside criminal and intelligence agencies for further action. In FY 2024, the DCSA PV mission executed and delivered over 2.75 million investigative products for its customers as well as provided CV services for over 3.7 million federal, military, and contract workforce employees. Since its standup in FY 2020, DCSA has delivered timely, high-quality products and services to its customers.

The DCSA PV mission works with over 140 federal department and agency customers, cleared industry partners, state, local, and tribal law enforcement agencies, regularly ensuring products and services meet customer requirements and the current threat environment. In addition, the DCSA PV mission has a dedicated team working to improve the accessibility and cost of criminal history record information that resides in state, local, and tribal repositories. In support of the DCSA PV mission end-to-end ISP role, a team performs regular mission coordination, operational policy and procedural guidance, and the collection and analysis of performance metrics. This work aligns with the national policy objectives of the FIS, the Trusted Workforce (TW) 2.0 Implementation Strategy, continued accountability internally and externally to meet mission goals, regular efforts to increase the effectiveness and efficiency of PV products, and improvements in effective coordination across the DCSA PV mission.

The DCSA continues to offer Expedited Screening Protocol (ESP) services to both DoD and non-DoD agencies via the DCSA WCF. In response to Public Law 115-91, DCSA developed ESP to provide a centralized standard process for the screening and vetting of covered individuals with foreign risk who require access to government systems, facilities, personnel, or information, including access to classified information. The ESP services optimize intelligence data sources, other classified and unclassified U.S. Government data systems, and human analytics to provide multi-point identity detection of potential foreign risks to support improved actions in the BI.

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Starting in FY 2024, DCSA completed the full transition of its CV services to a fee-for-service model by beginning to provide its DoD CV services through the DCSA WCF. In FY 2025, in coordination with the DoD customers and other stakeholders, DCSA converted the DoD consolidated adjudications services (CAS) from a DoD appropriation funded program to a fee-for service program in the DCSA WCF, administered by the newly formed Adjudication and Vetting Services (AVS) division within PV. The resulting products and services are offered to DoD customers bundled with DCSA's existing BI and CV products creating a single funding model that will lead to anticipated financial and process efficiencies. This conversion also provides DCSA and its customers with a more efficient financial agreement process as DCSA consolidates all PV mission services under the minimal possible number of customer financial agreements. Moreover, the conversion of CAS to the DCSA WCF enhances the customers' ability to track and validate costs of end-to-end DCSA PV mission services, leading to an improved customer experience.

DCSA continues to prepare for the future delivery of new PV services via the DCSA WCF in support of the TW policy. At the start of FY 2025, DCSA began onboarding the federal government's Non-Sensitive Public Trust (NSPT) population into an initial CV service. NSPT comprises individuals who hold non-national security roles but could pose a higher risk due to access to government information and installations. Through and beyond FY 2028, DCSA will enhance its current CV services with a goal of implementing additional data sources and time-based checks to further enhance the ability to maintain a trusted Federal workforce. DCSA will also continue to build the three-tier TW BI model that simplifies the existing five-tier FIS model into a high, moderate, and low-tier structure.

In summary, in FY 2025 and over the next several years, DCSA will fully implement TW 2.0 via the DCSA WCF. The TW 2.0 is a government-wide initiative to reform PV (BI, CV, and ADJ) in support of establishing and maintaining a trusted Federal workforce. The TW 2.0 reforms seek to streamline policy and tailor PV activity to an individual's circumstances. These features allow for better risk management, rapid onboarding of trusted individuals, increased workforce mobility, and greater awareness of potential security concerns. Application of CV allows DCSA to support mitigation of potential PV situations before they become larger problems, either by working with the cleared individual and/or the individual's agency to mitigate potential issues, or in some cases suspending or revoking clearances. In support of the TW 2.0 vision, DCSA will deliver CV services to both the national security, NSPT, and low-risk federal-wide populations. In accordance with the conversion of CAS to a fee-for-service model for its DoD customers, DCSA will also offer CV alert and incident report adjudication as an add-on to CV products, as well as full customer service request service.

In FY 2024 and FY 2025, the National Background Investigation Services (NBIS) was funded from DCSA's cash reserve. In FY 2026, DCSA realigned the funding and personnel for NBIS from DCSA WCF to appropriated funds. This intentional transfer avoids levying costs to customers for NBIS during the development and delivery phase while also ensuring DCSA's long-term cash solvency.

### **Budget and Pricing Information**

Starting in FY 2025, DCSA began executing the entire PV mission via the DCSA WCF, a fee-for-service model that efficiently provides PV products and services using a full cost recovery business-like model with the overall goal of financially breaking even over time. With the implementation of the 3-tier TW products, scheduled for introduction in the future, DCSA will integrate costs for Triggered Enhanced Subject Interviews, International Coverage, and ESP into the Moderate Tier price with other triggered costs added to the High Tier price. The DCSA made this decision to integrate triggered costs into base BI prices in response to customer requests for a more budget-development friendly DCSA price structure.

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DCSA's major focus starting in FY 2026 is transitioning from setting prices to reduce its cash reserve to full-cost recovery pricing and to execute this change in a manageable way for customers. In FY 2026 DCSA BI rates will increase 10 percentage points from FY 2025 rates and CV rates will increase by a conservative, inflation-driven 3 percentage points. DCSA developed this plan in conjunction with the Office of Management and Budget and the Office of the Under Secretary of Defense, Comptroller, fully considering that large rate increases over a short period of time will more negatively impact customer budgets compared to smaller increases over a span of several years.

### **DCSA WCF Cash Management Plan**

The DCSA uses data-driven analytics to manage its WCF cash based on current and future specific mission requirements. These requirements are in large part driven by federally mandated PV policies and standards and the evolving TW 2.0 policy requirements. As part of a robust cash management plan and in alignment to its September 2023-published cash management policy, DCSA executed its annual re-evaluation of its operating range and reduced its upper and lower cash threshold requirements. The chart below displays the DCSA WCF cash plan for FY 2025 and FY 2026. The DCSA WCF's operating range for FY 2026 is \$180 million, narrowed from the \$215 million range in FY 2024 and consistent with FY 2025's operating range. The new tighter operating range continuing from FY 2025 is the result of analysis concluding monthly fluctuations in the cash balance will be less than in DCSA's first four years of operation. In addition, DCSA reevaluated the timing of many facility consolidations and upgrades, to include the relocation of the Boyers, PA facility, and decided to apply its cash reserve to other priorities. DCSA's overall new cash requirement decreased again in FY 2026, with the upper range set at \$510 million and the lower range set at \$330 million. The DCSA WCF remains sensitive to swings in customer demand, time between advance collections and disbursements relating to active inventory, and the uncertainty in implementation of new TW 2.0 products.

As DCSA continues its sixth year of operation, it also continues to better understand operating risk requirements while the national PV mission undergoes significant transformation (e.g., the federally mandated TW 2.0). The DCSA re-confirmed its requirement to employ \$275 million to address current and future-year analytically defined PV mission operating volatility and will retain \$50 million to manage the continued uncertainties of TW 2.0 implementation and expansion of CV to the NSPT and low-risk populations. The DCSA anticipates fluctuations in customer demand due to budget constraints and the incremental implementation of the new TW policy reforms, resulting in a possible reduction in orders leading to reductions in planned revenue.

Even as its cash requirement decreases and its operating range narrows in FY 2025 and FY 2026 as described above, DCSA expects the cash balance to fall within the operating range during these two years. The decreased cash balance is associated with increased program spending driven by IT and FY 2025 and FY 2026 rates for products and services that remain below full-cost recovery levels.

In FY 2026, consistent with DCSA's cash management policy, DCSA will continuously evaluate its operating range requirements to include the minimum operating threshold, to assess its requirements for future years. The DCSA continues to refine the appropriate costs for functional support elements (e.g., Human Resources, Acquisitions, Logistics, Financial Management), particularly considering the broadening of its DCSA WCF operation into a more comprehensive PV mission.

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DCSA WCF Cash Plan

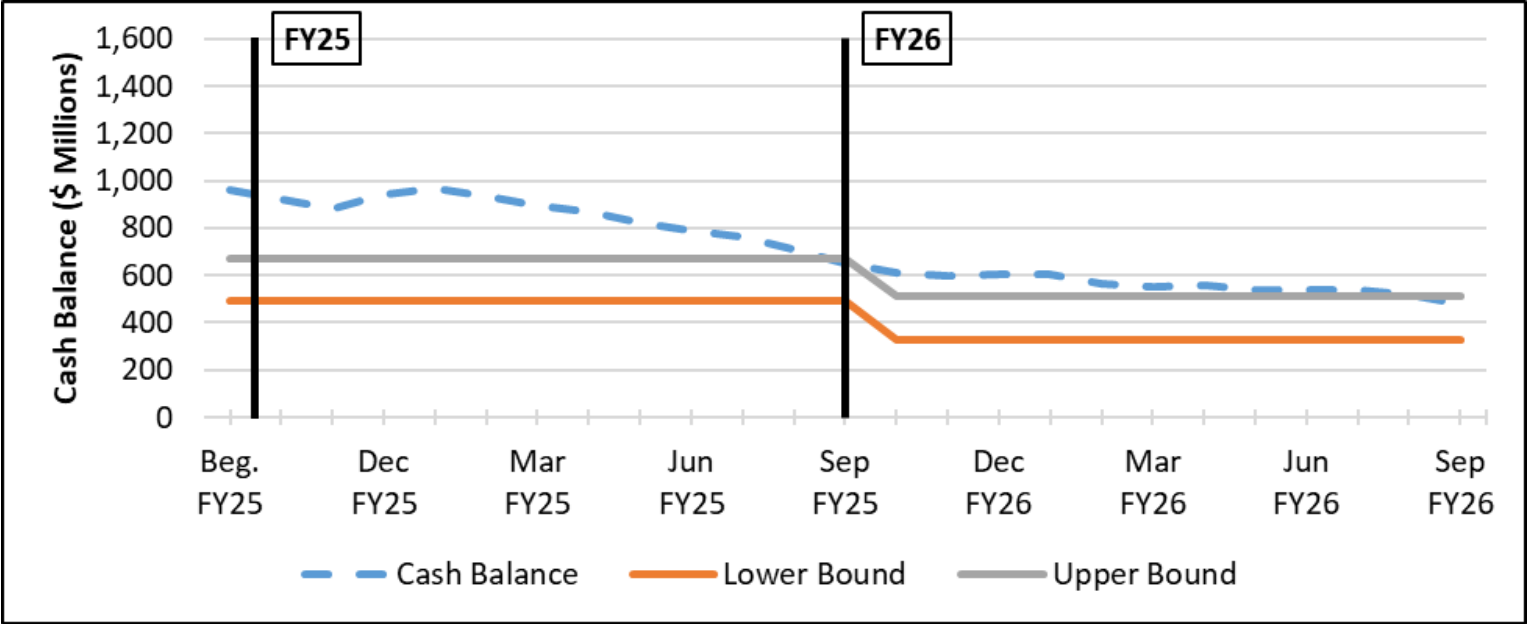


Figure 1. DCSA WCF Cash Plan

Defense Counterintelligence Security Agency  
Revolving Funds  
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Fiscal Year (FY) 2026 Budget Estimates  
June 2025

**DCSA WCF Summary**

| <b>DCSA WCF Summary</b>                            | <b>(\$M)</b>   |                  |                  |
|----------------------------------------------------|----------------|------------------|------------------|
|                                                    | <b>FY 2024</b> | <b>FY 2025</b>   | <b>FY 2026</b>   |
| <b>Net Operating Result (NOR) Summary:</b>         |                |                  |                  |
| Revenue                                            | 1,186.7        | 1,552.0          | 1,757.4          |
| Expenses                                           | 1,775.0        | 2,180.3          | 1,847.7          |
| <b>NOR</b>                                         | <b>(588.3)</b> | <b>(628.4)</b>   | <b>(90.3)</b>    |
|                                                    |                |                  |                  |
| <b>Accumulated Operating Result (AOR) Summary:</b> |                |                  |                  |
| Prior Year AOR                                     | (97.9)         | (422.7)          | (1,051.1)        |
| NOR                                                | (588.3)        | (628.4)          | (90.3)           |
| Adjustment Affecting the NOR                       | -              | -                | -                |
| <b>AOR Prior to Adjustments</b>                    | <b>(686.2)</b> | <b>(1,051.1)</b> | <b>(1,141.4)</b> |
| Non-Recoverable Adjustment Impacting AOR           | 263.5          | 0.0              | 1,141.4          |
| <b>AOR</b>                                         | <b>(422.7)</b> | <b>(1,051.1)</b> | <b>-</b>         |
|                                                    |                |                  |                  |
| <b>Cash Balance Summary:</b>                       |                |                  |                  |
| Disbursements                                      | 1,692.3        | 2,098.3          | 1,947.6          |
| Collections                                        | 1,218.8        | 1,788.5          | 1,831.7          |
| Transfer Out                                       | -              | 95.0             | -                |
| Transfer In                                        | 0.3            | -                | -                |
| Appropriation                                      | -              | -                | -                |
| <b>Net Outlays</b>                                 | <b>473.2</b>   | <b>404.8</b>     | <b>115.8</b>     |

Defense Counterintelligence Security Agency  
Revolving Funds  
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Fiscal Year (FY) 2026 Budget Estimates  
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**DCSA WCF Summary (Continued)**

|                                  |                |              |              |
|----------------------------------|----------------|--------------|--------------|
| <b>Beginning Cash Balance</b>    | <b>1,432.0</b> | <b>958.8</b> | <b>553.9</b> |
| Net Outlays                      | 473.2          | 404.8        | 115.8        |
| <b>Ending Cash Balance</b>       | <b>958.8</b>   | <b>553.9</b> | <b>438.1</b> |
|                                  |                |              |              |
| <b>Operating Range</b>           |                |              |              |
| Upper Bound                      | 1,308.0        | 670.0        | 510.0        |
| Lower Bound                      | 1,093.0        | 490.0        | 330.0        |
|                                  |                |              |              |
| <b>Manpower Summary:</b>         |                |              |              |
| <b>Civilian Work Years (FTE)</b> | <b>3,554</b>   | <b>4,397</b> | <b>3,872</b> |

*Table 4. DCSA WCF Narrative Details*

Defense Counterintelligence Security Agency  
Summary of Price, Program, and Other Changes  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

(Dollars in Millions)

|                                                                      |                     |
|----------------------------------------------------------------------|---------------------|
|                                                                      | <b><u>Costs</u></b> |
| <b>FY 2024 Estimated Actual:</b>                                     | <b>\$1,774.979</b>  |
| <b>FY 2025 Estimate in President's Budget:</b>                       | <b>\$1,774.979</b>  |
| <b>Estimated Impact in FY 2025 of Actual<br/>FY 2024 Experience:</b> | <b>1,774.979</b>    |
| Civilian Personnel                                                   | 551.573             |
| Travel of Persons                                                    | 17.059              |
| Material & Supplies                                                  | 1.474               |
| Commercial Equipment Purchases                                       | 34.507              |
| Other Purchased Services from Revolving Fund                         | 0.000               |
| Transportation of things                                             | 0.071               |
| Printing and Reproduction                                            | 3.702               |
| Advisory and Assistance Services                                     | 1,058.464           |
| Rent, Communications, Utilities, and Misc                            | 108.078             |
| Other Purchased Services                                             | 0.051               |
| Capital Investment Recovery                                          | 0.000               |
| <b>Pricing Adjustments:</b>                                          | <b>225.763</b>      |
| General Purpose Inflation                                            | 172.082             |
| Annualization of FY 22 Pay Raise                                     | 0.000               |
| FY 24 Pay Raise                                                      | 53.681              |
| <b>Program Changes:</b>                                              | <b>179.600</b>      |
| Civilian Personnel                                                   | 107.746             |
| Travel of Persons                                                    | 0.000               |
| Material & Supplies                                                  | 0.000               |
| Commercial Equipment Purchases                                       | 0.000               |
| Other Purchased Services from Revolving Fund                         | 0.000               |
| Transportation of things                                             | 0.000               |

Defense Counterintelligence Security Agency  
Summary of Price, Program, and Other Changes  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

(Dollars in Millions) (Cont.)

|                                                         | <b><u>Costs</u></b> |
|---------------------------------------------------------|---------------------|
| Printing and Reproduction                               | 0.000               |
| Advisory and Assistance Services                        | 71.854              |
| Rent, Communications, Utilities, and Misc               | 0.000               |
| Other Purchased Services                                | 0.000               |
| Capital Investment Recovery                             | 0.000               |
| <b>FY 2025 Current Estimate:</b>                        | <b>\$2,180.342</b>  |
| <b>Pricing Adjustments:</b>                             | <b>-64.172</b>      |
| General Purpose Inflation                               | -66.272             |
| FY24 pay raise                                          | 2.100               |
| <b>Productivity Initiatives and Other Efficiencies:</b> | <b>0.000</b>        |
| <b>Program Changes:</b>                                 | <b>-268.500</b>     |
| Civilian Personnel                                      | -85.500             |
| Travel of Persons                                       | 0.000               |
| Material & Supplies                                     | 0.000               |
| Commercial Equipment Purchases                          | 0.000               |
| Other Purchased Services from Revolving Fund            | 0.000               |
| Transportation of things                                | 0.000               |
| Printing and Reproduction                               | 0.000               |
| Advisory and Assistance Services                        | -183.000            |
| Rent, Communications, Utilities, and Misc               | 0.000               |
| Other Purchased Services                                | 0.000               |
| Capital Investment Recovery                             | 0.000               |
| <b>FY 2026 Estimate:</b>                                | <b>\$1,847.670</b>  |

Defense Counterintelligence Security Agency  
Source of New Orders and Revenue  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

(Dollars in Millions)

|                                           | <u><b>FY 2024</b></u> | <u><b>FY 2025</b></u> | <u><b>FY 2026</b></u> |
|-------------------------------------------|-----------------------|-----------------------|-----------------------|
| <b>1. New Orders</b>                      |                       |                       |                       |
| <b>a. Orders from DoD Components:</b>     | <b>951.0</b>          | <b>1,280.6</b>        | <b>1,427.0</b>        |
| <b>Army</b>                               | <b>228.2</b>          | <b>308.6</b>          | <b>343.9</b>          |
| Operations & Maintenance                  | 228.2                 | 308.6                 | 343.9                 |
| Research Development Testing & Evaluation | 0.0                   | 0.0                   | 0.0                   |
| Procurement                               | 0.0                   | 0.0                   | 0.0                   |
| Military Construction                     | 0.0                   | 0.0                   | 0.0                   |
| Military Personnel                        | 0.0                   | 0.0                   | 0.0                   |
| Family Housing                            | 0.0                   | 0.0                   | 0.0                   |
| Other                                     | 0.0                   | 0.0                   | 0.0                   |
| <b>Navy</b>                               | <b>220.9</b>          | <b>298.8</b>          | <b>334.8</b>          |
| Operations & Maintenance                  | 220.9                 | 298.8                 | 334.8                 |
| Research Development Testing & Evaluation | 0.0                   | 0.0                   | 0.0                   |
| Procurement                               | 0.0                   | 0.0                   | 0.0                   |
| Military Construction                     | 0.0                   | 0.0                   | 0.0                   |
| Military Personnel                        | 0.0                   | 0.0                   | 0.0                   |
| Family Housing                            | 0.0                   | 0.0                   | 0.0                   |
| Other                                     | 0.0                   | 0.0                   | 0.0                   |
| <b>Air Force</b>                          | <b>170.6</b>          | <b>229.6</b>          | <b>254.9</b>          |
| Operations & Maintenance                  | 170.6                 | 229.6                 | 254.9                 |
| Research Development Testing & Evaluation | 0.0                   | 0.0                   | 0.0                   |
| Procurement                               | 0.0                   | 0.0                   | 0.0                   |
| Military Construction                     | 0.0                   | 0.0                   | 0.0                   |
| Military Personnel                        | 0.0                   | 0.0                   | 0.0                   |
| Family Housing                            | 0.0                   | 0.0                   | 0.0                   |
| Other                                     | 0.0                   | 0.0                   | 0.0                   |
| <b>Marine Corps</b>                       | <b>0.0</b>            | <b>0.0</b>            | <b>0.0</b>            |
| Operations & Maintenance                  | 0.0                   | 0.0                   | 0.0                   |

Defense Counterintelligence Security Agency  
Source of New Orders and Revenue  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

(Dollars in Millions) (Cont.)

|                                             | <u>FY 2024</u> | <u>FY 2025</u> | <u>FY 2026</u> |
|---------------------------------------------|----------------|----------------|----------------|
| Research Development Testing & Evaluation   | 0.0            | 0.0            | 0.0            |
| Procurement                                 | 0.0            | 0.0            | 0.0            |
| Military Construction                       | 0.0            | 0.0            | 0.0            |
| Military Personnel                          | 0.0            | 0.0            | 0.0            |
| Family Housing                              | 0.0            | 0.0            | 0.0            |
| Other                                       | 0.0            | 0.0            | 0.0            |
| <b>Defense-Wide</b>                         | <b>331.3</b>   | <b>443.5</b>   | <b>493.4</b>   |
| Operations & Maintenance                    | 331.3          | 443.5          | 493.4          |
| Research Development Testing & Evaluation   | 0.0            | 0.0            | 0.0            |
| Procurement                                 | 0.0            | 0.0            | 0.0            |
| Military Construction                       | 0.0            | 0.0            | 0.0            |
| Defense Health Program                      | 0.0            | 0.0            | 0.0            |
| Family Housing                              | 0.0            | 0.0            | 0.0            |
| Other                                       | 0.0            | 0.0            | 0.0            |
| <b>b. Orders from other Fund Activities</b> | <b>0.0</b>     | <b>0.0</b>     | <b>0.0</b>     |
| Army Working Capital Funds                  | 0.0            | 0.0            | 0.0            |
| Navy Working Capital Funds                  | 0.0            | 0.0            | 0.0            |
| Air Force Working Capital Funds             | 0.0            | 0.0            | 0.0            |
| Defense-wide                                | 0.0            | 0.0            | 0.0            |
| Other Working Capital Funds                 | 0.0            | 0.0            | 0.0            |
| Other                                       | 0.0            | 0.0            | 0.0            |
| <b>c. Total DoD</b>                         | <b>951.0</b>   | <b>1,280.6</b> | <b>1,427.0</b> |
| <b>d. Other Orders:</b>                     | <b>358.5</b>   | <b>388.9</b>   | <b>433.4</b>   |
| Exchange Activities                         | 0.0            | 0.0            | 0.0            |
| Trust Funds                                 | 0.0            | 0.0            | 0.0            |
| Non-Federal Agencies                        | 0.1            | 0.1            | 0.1            |
| Federal Agencies                            | 358.4          | 388.7          | 433.2          |
| Foreign Military Sales                      | 0.0            | 0.0            | 0.0            |

Defense Counterintelligence Security Agency  
Source of New Orders and Revenue  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

(Dollars in Millions) (Cont.)

|                                    | <u>FY 2024</u> | <u>FY 2025</u> | <u>FY 2026</u> |
|------------------------------------|----------------|----------------|----------------|
| <b>Total for New Orders</b>        | <b>1,309.5</b> | <b>1,669.5</b> | <b>1,860.4</b> |
| 2. Carry-In Orders                 | 315.7          | 438.6          | 556.0          |
| <b>3. Total Gross Orders</b>       | <b>1,625.2</b> | <b>2,108.0</b> | <b>2,416.4</b> |
| 4. Carry-Out Orders (-)            | -438.6         | -556.0         | -659.0         |
| <b>5. Gross Sales</b>              | <b>1,186.7</b> | <b>1,552.0</b> | <b>1,757.4</b> |
| 6. Credit (-)                      | 0.0            | 0.0            | 0.0            |
| <b>7. Net Sales</b>                | <b>1,186.7</b> | <b>1,552.0</b> | <b>1,757.4</b> |
| 8. Reimbursable Sales/Other Income | 0.0            | 0.0            | 0.0            |
| <b>9. Total Revenue</b>            | <b>1,186.7</b> | <b>1,552.0</b> | <b>1,757.4</b> |

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Defense Counterintelligence Security Agency  
Revenue and Costs  
Fiscal Year (FY) 2026 Budget Estimates  
June 2025

(Dollars in Millions)

|                                                                | <u>FY 2024</u>   | <u>FY 2025</u>    | <u>FY 2026</u>   |
|----------------------------------------------------------------|------------------|-------------------|------------------|
| <b>Revenue</b>                                                 |                  |                   |                  |
| <b>Gross Sales</b>                                             | <b>1,186.669</b> | <b>1,551.984</b>  | <b>1,757.352</b> |
| Operations                                                     | 1,186.669        | 1,551.984         | 1,757.352        |
| Capital Surcharge                                              | 0.000            | 0.000             | 0.000            |
| Capital Investment Recovery                                    | 0.000            | 0.000             | 0.000            |
| Other Income                                                   | 0.000            | 0.000             | 0.000            |
| Refunds/Discounts (-)                                          | 0.000            | 0.000             | 0.000            |
| <b>Total Income</b>                                            | <b>1,186.669</b> | <b>1,551.984</b>  | <b>1,757.352</b> |
| <b>Costs</b>                                                   |                  |                   |                  |
| Cost of Material Sold from Inventory                           | 0.000            | 0.000             | 0.000            |
| Salaries and Wages:                                            | 551.573          | 713.000           | 629.600          |
| Military Personnel Compensation & Benefits                     | 0.000            | 0.000             | 0.000            |
| Civilian Personnel Compensation & Benefits                     | 551.573          | 713.000           | 629.600          |
| Travel & Transportation of Personnel                           | 17.059           | 20.460            | 19.536           |
| Materials & Supplies (For Internal Operations)                 | 1.474            | 1.768             | 1.688            |
| Equipment                                                      | 34.507           | 41.387            | 39.518           |
| Other Purchases from Revolving Funds                           | 0.000            | 0.000             | 0.000            |
| Transportation of Things                                       | 0.071            | 0.085             | 0.081            |
| Capital Investment Recovery (CIR)                              | 0.000            | 0.000             | 0.000            |
| Printing & Reproduction                                        | 3.702            | 4.440             | 4.240            |
| Advisory & Assistance Services                                 | 1,058.464        | 1,269.514         | 84.176           |
| Rent, Communication, Utilities, & Misc. Charges                | 108.078          | 129.628           | 123.773          |
| Other Purchased Services                                       | 0.051            | 0.060             | 945.058          |
| <b>Total Expenses</b>                                          | <b>1,774.979</b> | <b>2,180.342</b>  | <b>1,847.670</b> |
| <b>Operating Result</b>                                        | <b>-588.310</b>  | <b>-628.358</b>   | <b>-90.318</b>   |
| <b>Other Adjustments Affecting NOR</b>                         | <b>0.000</b>     | <b>0.000</b>      | <b>0.000</b>     |
| <b>Net Operating Result</b>                                    | <b>-588.310</b>  | <b>-628.358</b>   | <b>-90.318</b>   |
| Prior Year AOR                                                 | -97.927          | -422.736          | -1,051.094       |
| Other Changes Affecting AOR                                    | 0.000            | 0.000             | 0.000            |
| Non-Recoverable AOR                                            | 0.000            | 0.000             | 0.000            |
| Deferred AOR                                                   | 263.500          | 0.000             | 1,141.412        |
| <b>Total Accumulated Operating Results for Budget Purposes</b> | <b>-422.737</b>  | <b>-1,051.094</b> | <b>0.000</b>     |